# BANKING & FINANCIAL AWARENESS

## June 2026 Edition

*Current Affairs, Notes & Practice MCQs*

Banking · Finance · Economy

# Introduction

This eBook brings together the most important Banking, Financial, and Economic developments from June 2026, curated specifically for aspirants preparing for bank, insurance, SSC, and other competitive government examinations.

The content is organised into two parts. The first part, “Notes,” presents concise, exam-oriented summaries of key events — RBI monetary policy decisions, regulatory changes, banking sector developments, and major economic indicators and policy announcements from the month. The second part, “Practice MCQs,” contains 171 multiple-choice questions (110 from Banking & Finance and 61 from Economy) drawn directly from these events, each with the correct answer marked, so you can test and reinforce your understanding.

All content has been extracted and curated to focus strictly on Banking, Finance, and Economy topics — sections on Sports, Awards, Appointments, International Affairs, and other general-awareness categories from the original source material have been intentionally excluded to keep this eBook focused.

**How to use this eBook:**

- Read through the Notes section first to build context on each event.
- Attempt the Practice MCQs without looking at the answers to self-assess.
- Review the Answer Key at the end of each MCQ section for quick revision before your exam.

*Wishing you the very best in your exam preparation!*

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# Part I — Notes: Banking & Finance

## 1. RBI Monetary Policy Meet June 5, 2026 Highlights: Repo rate unchanged at 5.25%, policy stance neutral

- Reserve Bank Governor Sanjay Malhotra on June 5, 2026 announced the decision of the Monetary Policy Committee which kept the repo rate unchanged at 5.25%, as the central bank adopts a cautious approach in view of the West Asia conflict posing challenges for inflation as well as economic growth.
- The six-member MPC started its three-day deliberations on June 3, 2026.
- Meanwhile, RBI has lowered GDP growth projection to 6.6% from 6.9% earlier for the current fiscal and raised CPI inflation projection to 5.1% for FY27, higher from earlier estimate of 4.6%.
- After a detailed assessment of the evolving macroeconomic and financial developments and the outlook, the MPC voted unanimously to keep the policy repo rate under the liquidity adjustment facility (LAF) unchanged at 5.25 per cent. Consequently, the standing deposit facility (SDF) rate remains at 5.00 per cent and the marginal standing facility (MSF) rate and the Bank Rate remain at 5.50 per cent. The MPC also decided to continue with the neutral stance.
- Speaking on inflation, the RBI Governor said that headline CPI inflation was below the 4% target during March (3.4%) and April (3.5%) this year.
- While food inflation edged up, he said, fuel inflation remain muted as fuel prices remain unchanged in those months.
- Core inflation remained stable at 3.7%, the Governor added.
- The rupee appreciated 50 paise to 95.24 against the U.S. dollar after the RBI liberalised norms for FPI investment in government securities.
- Forex traders said the announcements in the RBI policy boosted investor sentiments after the apex bank asserted that the country's forex reserves provide sufficient buffer against external shocks.
- At the interbank foreign exchange market, the rupee opened at 95.72, then touched 95.24 in intraday trade, registering a rise of 50 paise from its previous close. Policy Rates Policy Repo Rate Standing Deposit Facility Rate Marginal Standing Facility Rate Bank Rate Fixed Reverse Repo Rate CRR SLR 5.25% 5.00% 5.00% 5.00% 3.35% Reserve Ratios 3.00% 18.00%

## 2. RBI exempts FCNR(B), ECB swap positions from banks' NOP-INR limits

- The Reserve Bank of India (RBI) allowed banks to exclude positions arising from its newly announced foreign-currency swap facilities for foreign currency non-resident (bank) deposits, external commercial borrowings, and overseas foreign-currency borrowings from the calculation of their net overnight open position in rupee (NOP-INR) limits.
- Policy measures announced by the RBI and the government to attract foreign capital into government securities and banking channels are expected to bring in $400- 50 billion in inflows.
- On March 27, the central bank directed banks to maintain their net open position in rupee (NOP-INR) in the onshore deliverable market within $100 million at the end of each business day, with compliance required by April 10. The move marked the first time since 2011 that the RBI had explicitly prescribed an NOP limit, a parameter that had earlier been set by banks' boards.
- The measure was aimed at curbing the buildup of arbitrage positions between the onshore market and the offshore non-deliverable forward market. Market participants had estimated that positions worth around $40 billion would need to be unwound following the directive.
- Subsequently, on April 1, the RBI tightened rules governing offshore foreign exchange derivative transactions and barred banks from undertaking certain transactions with related parties. Market participants said the clarification came after some banks sought to transfer positions to clients instead of unwinding them on their own books.

- On April 20, the RBI partially rolled back some of these restrictions, allowing the cancellation and rollover of existing contracts, as well as certain transactions through the back-to-back route. However, the central bank retained the $100 million cap on NOP-INR positions and continued restrictions on related-party transactions.

## 3. RBI announces host of measures to attract foreign capital

- The Reserve Bank of India (RBI) on June 5, 2026 announced several measures to attract foreign capital For government securities under the Fully Accessible Route (FAR), the RBI said it was expanding the universe of 'specified securities' by including all new issuances of 15-, 30and 40-year tenor G-secs.
- In addition, limits pertaining to short-term investment, concentration and individual securities on FPI investment under the General Route are being removed.
- 'These measures along with the tax benefits provided by the government this morning should help attract foreign capital for government borrowing,' Mr. Malhotra said.
- The RBI has also decided to increase the limits for investment by NRIs and OCIs in equity instruments traded on the stock market without SEBI registration.
- Further, the same facility is being extended to all individual Persons Resident Outside India (PROIs) at par with NRIs and OCIs.
- The RBI has decided to provide facility of concessional forex swaptill September 30, 2026to incentivize ECBs by PSUs.
- Also a similar facility for bearing the full hedging cost will be providedtill 30th September 2026to AD banks for raising fresh 3'5-year FCNR (B) deposits.
- The RBI has proposed to restore the time for realisation of export proceeds to nine months from 15 months currently.
- 'While these measures are expected to strengthen our balance of payments, we will continue to make the right policy adjustments to further promote exports and attract and incentivise capital inflows,' Mr Malhotra said.
- He emphasised that RBI's exchange rate policy remained unchanged.
- 'We do not target any specific level or band; instead, we allow the exchange rate to be determined by market forces. Our experience, however, suggests that it may sometimes witness movements, often caused by speculative pressures, especially in the wake of heightened uncertainty, that are not in sync with fundamentals and are disruptive of economic activity,' he said

## 4. RBI consolidates governance norms for risk, compliance and audit functions

- The Reserve Bank of India (RBI) consolidated regulatory instructions relating to risk management, compliance and internal audit functions for commercial banks, requiring lenders to establish dedicated control functions headed by a chief risk officer (CRO), chief compliance officer (CCO) and head of internal audit (HIA).
- The amended directions will come into effect from January 1, 2027.
- Under the revised directions, the CRO, CCO and HIA will ordinarily be appointed for a fixed tenure of at least three years, and any premature transfer or removal will require board approval.
- The central bank said the three control functions must operate independently of business lines, remain free from business targets, and have unrestricted access to all business areas and records. Banks will also be required to frame board-approved policies defining the objectives, roles and responsibilities of each function.
- The RBI has mandated that CROs, CCOs and HIAs be appointed from among senior officials not more than two levels below the managing director and chief executive officer (MD & CEO). They will report functionally to the board or the relevant board committee and administratively to the MD & CEO.
- The directions require the three officials to meet the board or relevant board committee at least once every quarter without the presence of senior management. Their final performance review will also be carried out by the board or the respective board committee.
- Under the revised framework, the CRO will be an invitee to meetings of credit sanction and approval committees without voting rights. Any decision to assume risk contrary to the CRO's advice, without adequate

risk-mitigation measures, will have to be approved by the next higher authority in the delegation matrix and reported to the board or the risk management committee.

- The RBI has also prescribed detailed responsibilities for compliance and internal audit functions. Banks will be required to maintain an annual compliance risk assessment and adopt a risk-based internal audit framework covering all significant activities, with high-risk areas subject to more frequent reviews.
- Further, any appointment, reappointment, removal or exit of a CRO will have to be reported to the RBI within five working days. In the case of chief compliance officers and heads of internal audit, banks will have to provide prior intimation to the regulator.

## 5. RBI tightens norms on bundled products; lenders to refund for mis-selling

- The Reserve Bank of India (RBI) has tightened rules governing the sale of financial products by banks and other regulated entities by imposing conditions on the compulsory bundling of thirdparty products with their own offerings, mandating explicit customer consent and making lenders liable to compensate customers in cases of mis-selling.
- The final norms on Responsible Business Conduct (Second Amendment) Directions, 2026, for regulated entities were released by the regulator. The new norms will come into effect from January 1, 2027.
- The changes, introduced through amendments to the RBI's Master Directions, seek to curb aggressive sales practices and strengthen customer protection amid rising concerns over the distribution of insurance, mutual funds, and other third-party products through banks and nonbanking financial companies.
- The RBI said banks 'shall not resort to compulsory bundling of any third-party product or service (TPPS) with any of their own products or services'. The regulator clarified that where a third-party product is required as a risk mitigation tool, customers must be given the option to purchase it from any TPPS provider of their choice.
- Many a time, when a bank sells a home loan, it insists on the borrower buying a life insurance policy offered by its subsidiary or joint venture partner. The new rule aims to curb such practices. Moreover, banks have been asked not to fund the purchase of a product or service by a customer ' whether its own or a third party's ' through any loan facility sanctioned to the customer without explicit consent.
- It must be ensured that bank employees do not directly or indirectly receive any incentive from the third-party service provider, the final norms said. The central bank has also defined 'misselling' as the sale of a product or service without the customer's explicit consent, without providing correct or complete information, or by giving misleading information.
- Importantly, the revised norms introduce a compensation mechanism for customers who have been mis-sold products. 'In cases where mis-selling of a financial product/service is established, the bank shall refund the entire amount paid by the customer for purchase of the financial
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- product/service,' the RBI said. 'Further, the bank shall also compensate the customer for any loss arising due to mis-selling, according to its approved policy.' Banks have also been directed to establish mechanisms to seek customer feedback within 30 days of the sale of a financial product to assess whether customers understood its features and associated risks. The revised framework places greater emphasis on customer consent. 'A bank shall ensure that products or services, whether own or third-party, are offered or sold to a customer only with his/her explicit consent,' the RBI said. Such consent may be obtained through signed declarations, one-time password-based approvals, digitally recorded confirmations, or other documented means. Where more than one product is offered through a single form, customers must have the option to choose only the products they want. The directions also target manipulative digital practices, banning the use of 'dark patterns' by banks and their agents. The RBI defined dark patterns as practices designed 'to mislead or

trick users to do something they originally did not intend or want to do'. Banks and their direct selling agents have been barred from deploying such interfaces and asked to periodically audit their digital platforms. The regulator has provided illustrative examples of prohibited practices, including countdown timers creating false urgency, pre-selected add-on products, hidden cancellation options, and confusing consent language. Banks will also be required to publicly disclose the direct selling agents (DSAs) and direct marketing agents (DMAs) engaged by them and ensure that such representatives do not falsely present themselves as bank employees. The RBI said these agents must adhere to a code of conduct prescribed by banks. Moreover, the final norms mandate that any DSA/DMA sub-agent or representative of a TPPS provider present within the bank's premises for the sale of the bank's own or third-party financial products shall be distinguishable from bank employees, including through clear 'onperson' identification. The central bank further mandated that customers be clearly informed about key product features, including fees, charges, interest rates, risks, lock-in conditions, and exit penalties before obtaining consent.

## 6. RBI allows banks to open repatriable rupee accounts for overseas investors

- The Reserve Bank of India (RBI) has permitted authorised dealer (AD) banks to open repatriable rupee accounts for overseas individuals investing in listed Indian companies, operationalising the government's move to broaden participation in the domestic equity market beyond Non-Resident Indians (NRIs) and Overseas Citizens of India (OCIs).
- The new norms came into effect immediately, the central bank said in a notification issued on June 13 2026 and uploaded to its website.
- The RBI amended foreign exchange regulations governing payment and reporting requirements for non-debt investments following changes made by the Centre to the Foreign Exchange Management (Non-Debt Instruments) Rules, 2019. The amendment allows all individuals resident outside India to invest in equity instruments of listed Indian companies under Schedule III of the regulations.
- Under the revised framework, overseas individual investors can make investments through inward remittances or funds held in repatriable deposit accounts. Such investors will be required to designate a repatriable rupee account that will be used exclusively for investments under this route.
- The central bank also clarified that sale proceeds from equity investments can either be remitted overseas or credited to the designated rupee account after payment of applicable taxes.
- The move is expected to simplify the investment process for foreign individual investors and provide a dedicated banking channel for equity market transactions.
- In addition, the RBI has expanded reporting requirements by introducing a new category ' Individual Foreign Investor (IFI). Under this category, authorised dealer banks will report purchases and transfers of equity instruments undertaken by overseas individuals, including NRIs and OCIs.
- The notification also revises provisions relating to investments in shares of Indian companies listed on international exchanges by specifying the permissible modes of payment and repatriation of sale proceeds.
- The regulatory changes form part of a broader effort by policymakers to attract foreign capital, deepen participation in Indian financial markets, and provide greater flexibility to overseas investors seeking exposure to listed Indian companies.

## 7. RBI eases capital norms on ECLGS 5.0 loans with lower risk weight

- The Reserve Bank of India (RBI) has allowed lenders to assign a zero-risk weight to a significant portion of loans guaranteed under the Emergency Credit Line Guarantee Scheme (ECLGS) 5.0, reducing capital requirements and potentially supporting credit growth under the programme.
- The RBI said exposures under ECLGS 5.0 would attract a zero per cent risk weight for up to 75 per cent of the guaranteed portion, where settlement is expected within 30 days of guarantee invocation. The balance exposure will continue to be risk-weighted under existing norms.
- Risk weights determine the amount of capital banks must hold against loans.

## 8. RBI launches awareness campaign against cyber financial frauds

- In a first-of-its-kind initiative Reserve Bank of India (RBI), Thiruvananthapuram, has launched RBI Reelathon 2026, a state-wide mass awareness campaign targeting college students to combat the growing menace of cyber-enabled financial frauds.
- The DGP cautioned against emerging cyber threats such as fraudulent investment schemes, digital arrest scams, illegitimate loan applications, fake job offers and mule account networks. Cybercriminals increasingly target young people through social engineering and misuse of digital platforms, he said.
- RBI Reelathon 2026 is designed as a three-phase state-wide awareness initiative. During the first phase, awareness programmes on smart borrowing and safe digital banking will be conducted across approximately 150 colleges.
- The second phase will feature a reel-making competition in which students will create short videos on themes such as illegitimate loan applications, mule accounts, digital financial frauds and cyber hygiene. Following multiple rounds of evaluation, shortlisted entries will compete in a Gala Finale scheduled later this year.

## 9. RBI's swap facility for OFCB: Dollar route to cut banks' funding costs

- The Reserve Bank of India's (RBI's) concessional swap facility for overseas foreign currency borrowings (OFCBs) is expected to provide banks with a cheaper source of funding at a time when deposit mobilisation remains a challenge and credit demand continues to outpace deposit growth.
- In a circular issued, the central bank said the OFCB swap facility is available to all Authorised Dealer Category 1 banks, including private-sector lenders, for OFCBs with a minimum maturity of three years. The restriction limiting participation to public-sector entities applies only to the external commercial borrowing (ECB) component of the scheme.
- Foreign currency borrowing is a subset, or a particular type, of ECB.
- The swap will be undertaken at a fixed rate of 1.5 per cent per annum, compounded semiannually, and the window will remain open until December 31. Hedging costs in the market are estimated at 3.5-4 per cent, implying a reduction of 200-250 basis points (bps) under the RBI's concessional swap arrangement.
- The RBI has also allowed banks to exclude positions arising from its newly announced foreign currency swap facilities for foreign currency non-resident (bank) deposits, ECBs, and OFCBs from the calculation of their net overnight open position in Indian rupee limits.

## 10. RBI defers implementation of revised KCC directions to January 2027

- The Reserve Bank of India (RBI) has deferred the implementation of the revised Kisan Credit Card (KCC) directions by six months to January 1, 2027, from the proposed July 1, 2026, after accepting stakeholder feedback on operational and technology-related challenges, the central bank said in a release.
- The central bank also said KCC loans sanctioned before January 1, 2027, will continue to be governed by the existing KCC guidelines until maturity or the next renewal.
- The RBI accepted suggestions to align the definition of crop seasons with existing incomerecognition and asset-classification norms.
- It also incorporated references to District Level Technical Committees (DLTCs) in the directions and included an indicative list of technological interventions under the framework.
- The RBI clarified that where the Scale of Finance (SoF) is notified but not revised for a subsequent year, banks should continue to adopt the existing SoF and that no automatic increase in drawing limits is envisaged. It also clarified that extending loans under KCC requires the determination of SoF by State Level Technical Committees or DLTCs.
- The directions have been modified to explicitly provide for the applicability of Flexi KCC to allied activities. The RBI also accepted a suggestion to round off KCC credit limits to the nearest '1,000.
- The central bank clarified that term loans with a tenure exceeding six years will be treated as separate credit facilities outside the KCC framework.
- The RBI also clarified that banks may maintain separate loan accounts for short-term workingcapital and long-term investment components under KCC.

- The directions have been modified to clarify that the explicit consent of the borrower may be obtained at the application stage if insurance premiums are to be paid through the KCC account.
- Among the suggestions not accepted by the RBI were proposals to increase the Flexi KCC limit, permit lending beyond the notified Scale of Finance, increase the collateral-free lending limit, allow KCC renewals based on interest servicing, and provide a single consolidated credit limit instead of separate sub-limits.
- The RBI said issues relating to interest subvention under the Modified Interest Subvention Scheme, reporting by cooperative institutions to credit information companies, and KCC portability across banks were outside the scope of the directions.

## 11. RBI aligns prudential norms for UPI-linked credit lines with base loans

- The Reserve Bank of India (RBI) said that pre-sanctioned credit lines offered through the Unified Payments Interface (UPI) and other payment-linked credit facilities will be subject to the same prudential norms as the underlying credit product, irrespective of the delivery mode.
- "Notwithstanding the mode or channel of credit delivery or the type of payment instrument and/or underlying technology used for its disbursement, the prudential treatment of an underlying credit facility, including pre-sanctioned credit lines meant for payment transactions through UPI, shall be solely determined by the nature of the underlying credit facility, governed in terms of the applicable prudential norms," the RBI said.
- The move comes nearly three years after the RBI allowed banks to offer pre-sanctioned credit lines through UPI with customers' prior consent. The central bank said the amendment aimed to ensure consistency in regulatory compliance across banks offering such products.
- The RBI also clarified that only credit facilities otherwise permitted under existing regulations can be offered through such arrangements. This means banks cannot introduce a new category of lending merely by routing it through a payment mechanism such as UPI.

## 12. RBI sets compliance blueprint for AI-driven finance under draft framework

- Regulated entities will be required to put in place a board-approved model risk management framework (MRMF) covering all models, including artificial intelligence and machine learning (AI/ML) models, the Reserve Bank of India's (RBI's) draft Guidance on Regulatory Principles for Model Risk Management, released.
- The proposed framework will apply irrespective of whether the models are developed internally, sourced from third parties, or built using a combination of both. Feedback on the draft guidelines can be submitted until July 24.
- Under the proposed framework, boards will be required to periodically review the MRMF, approve the entity's risk appetite and tolerance for model risk, and ensure these assessments are informed by scenario analysis and stress testing. Boards will also have to approve policies relating to model risk management and model-risk classification.
- Recognising the growing use of AI/ML models by regulated entities across business and decision-making processes, the RBI said weaknesses in governance, oversight, risk management, and controls could expose institutions to financial, operational, compliance, and reputational risks. The draft guidance lays down broad regulatory expectations for managing model-related risks across the entire lifecycle of such systems.
- The central bank has proposed a greater oversight role for the Risk Management Committee of the Board. The committee will be required to review validation reports of models classified as high risk before deployment, oversee monitoring of third-party and AI-based models, review model-risk classification reports at least annually, and examine material breaches and other major concerns.
- The RBI has also sought to address risks arising from the use of third-party AI models. It said that where vendors do not disclose adequate information regarding AI/ML models, regulated entities should identify risks arising from such limitations and put in place appropriate safeguards, including restricting the use of such models where necessary.
- Regulated entities will be required to assess risks arising from the behavioural characteristics of AI models and test their performance under atypical and stressed scenarios. According to the draft, institutions should

evaluate models under edge cases, abnormal inputs, manipulation attempts, and adversarial conditions to identify vulnerabilities that may not emerge under normal operating conditions.

- The draft framework also requires regulated entities to ensure that deployment of AI models does not introduce vulnerabilities into their production environments and that adequate safeguards are implemented to mitigate such risks.
- The central bank has further proposed mandatory human oversight for AI-driven decisionmaking. Regulated entities will need to establish review mechanisms that address risks arising from automation bias, over-reliance on model outputs, and decision fatigue.

## 13. RBI withdraws concentration-risk exemptions for govt-owned NBFCs

- The Reserve Bank of India (RBI) mandated that NBFCs with an asset size of Rs. 1 trillion and above, based on their latest audited balance sheet, will be classified as upper-layer entities, and would hence be subjected to enhanced regulatory oversight. The directions come into force with immediate effect.
- The RBI said these entities will be identified annually for scale-based regulation, while the asset-size threshold for classification will be reviewed every three years.
- However, the norms were silent on the definition of indirect receipt of public funds, which, in an April direction, were referred to funds received not directly but through associates and group entities, which have access to public funds. This provision was seen as a hurdle for business houses that were keen to deregister as core investment company (CIC), hence avoiding public listing.
- Today's norms also tightened concentration risk norms for government-owned NBFCs by withdrawing the exemptions previously available to them and bringing them under the same exposure framework applicable to their respective regulatory layers.
- Under the revised norms, government-owned NBFCs will have to adhere to concentration limits based on whether they are classified in the middle layer or upper layer under the scalebased regulation (SBR) framework. Existing breaches of exposure limits will be allowed to run off until maturity, although fresh exposures to such obligors will not be permitted.
- The RBI has also introduced a new set of guidelines for NBFCs that are group entities of scheduled commercial banks. Such entities will be required to comply with norms on commercial banks in cases where both the NBFC and its parent bank undertake the same financial activity.
- At the same time, these requirements will apply irrespective of an NBFC's classification under the SBR framework. However, such entities will continue to retain their existing layer classification.
- For instance, an infrastructure debt fund-NBFC (IDF-NBFC) that is part of a banking group will continue to remain in the middle layer under the SBR framework, but it will be required to comply with regulations applicable to upper layer NBFCs, except for the listing requirement, where the same activity is undertaken by both the NBFC and its parent bank.
- Separately, the RBI eased certain exposure norms for Infrastructure Finance Companies (IFCs). It said exposures backed by state government guarantees would be treated as exposures to the guaranteeing state government and exempted from prudential exposure limits, subject to a 20 per cent risk weight. Further, the central bank raised the exposure limit for a group of connected counterparties for NBFC-IFCs to 45 per cent and allowed IFCs to exceed the prescribed exposure limit by up to 20 per cent of their Tier-I capital for such exposures.

## 14. Reserve Bank of India issues final rules on credit derivatives

- The Reserve Bank of India issued final rules for a proposed expansion of the country's credit derivative market, after the federal 'finance minister 'proposed 'deepening it in this year's budget.
- The rules will allow resident Indian non-retail users to deploy instruments such as credit default swaps and total return swaps without 'any restrictions 'on purpose, while limiting the use of these 'instruments by non-resident users for hedging purposes. Here are some of the key rules in the final directions:
- Retail resident users, except individuals, may undertake credit default swaps only 'for hedging
- The Reserve Bank of India rejected a request to allow 'credit derivatives on loans

- Credit derivative contracts with non-residents may be settled in Indian rupees or a foreign currency

## 15. RBI consolidates rules for outright, when-issued & short-sale G-sec trades

- The Reserve Bank of India (RBI) released draft master directions on secondary market transactions in government securities, bringing under a single framework the rules governing outright trades, when-issued transactions and short selling.
- The central bank has invited comments on the draft directions from market participants and other stakeholders.
- The draft expands the scope of the framework to explicitly cover a wider set of market participants, including retail investors, demat account holders and investors transacting through recognised stock exchanges, in addition to entities accessing the Negotiated Dealing SystemOrder Matching (NDS-OM) platform.
- Individuals holding demat accounts through depository participant banks that are direct members of NDS-OM will be able to undertake transactions on the platform. The draft also incorporates participation through the Stock Broker Connect facility and transactions undertaken through the RBI Retail Direct Scheme.
- The central bank has proposed that direct members of NDS-OM provide web-based access to constituent gilt account holders for undertaking transactions in government securities. Individual constituent gilt account holders and eligible demat account holders would be provided such access on request.
- The draft consolidates provisions relating to the reporting, settlement and trading of government securities that are currently spread across multiple regulations and circulars. Transactions undertaken outside NDS-OM would continue to be reported to the platform within 15 minutes of execution, while transactions would be settled on a delivery-versus-payment basis through the Clearing Corporation of India Ltd (CCIL) or any other clearing agency approved by the RBI.
- The proposed directions also bring together the existing framework for when-issued transactions and short sales. Scheduled commercial banks, standalone primary dealers, urban co-operative banks and other regulated entities permitted by their respective financial sector regulators would continue to be eligible to undertake short-sale transactions in central government securities, excluding Treasury Bills.
- The draft retains position limits for short-sale transactions and prescribes that such positions be covered within three months from the date of the transaction. It also requires short-sale and when-issued transactions to be subject to concurrent audit for compliance with regulatory requirements.

## 16. RBI classifies NBFCs with assets above Rs 1 lakh crore as Upper Layer

- The Reserve Bank of India (RBI) has issued a revised framework for identifying Upper Layer Non-Banking Financial Companies (NBFC-ULs), stating that NBFCs with an asset size of Rs 1 lakh crore and above will automatically be classified in the Upper Layer category.
- The central bank's move could strengthen the case for the public listing of Tata Sons, the principal holding company of the Tata Group. With an estimated asset base of around Rs 1.75 lakh crore, Tata Sons comfortably exceeds the threshold and is likely to remain classified as an Upper Layer NBFC.
- The RBI's decision narrows the scope for Tata Sons to avoid Upper Layer classification and could reinforce listing-related regulatory requirements to such entities. Tata Sons has been seeking regulatory relief through its application to surrender its registration as a CoreInvestment Company (CIC).
- According to the new norms, the RBI will use an asset-size criterion of Rs 1 lakh crore and above to identify NBFCs that may be considered for inclusion in the Upper Layer category. The regulator also said the threshold will now be reviewed every three years, instead of every five years as propose in the draft framework.
- The revised norms came into effect on June 24 2026.
- Additionally, government-owned NBFCs that meet the eligibility criteria will now be considered for inclusion in the Upper Layer category.
- Under the scale-based regulatory framework, entities classified in the Upper Layer are subject to enhanced regulatory oversight and stricter compliance requirements.

## 17. India's external debt climbed to $763 billion in FY26

- India's external debt rose by $26.3 billion to $762.8 billion by March 2026 from a year earlier, while the external debt-to-GDP ratio increased to 20.8 per cent from 19.8 per cent, data released by the Reserve Bank of India (RBI).
- The US dollar remained the dominant currency in India's external debt composition, accounting for 55.5 per cent of the outstanding stock at the end of March. Debt denominated in the Indian rupee constituted 29.4 per cent, followed by the Japanese yen at 6.4 per cent, Special Drawing Rights (SDR) at 4.3 per cent and the euro at 3.7 per cent.
- The increase in external debt was partly offset by valuation effects arising from the appreciation of the US dollar against the Indian rupee and other major currencies. The valuation impact amounted to $24.6 billion during the year. Excluding this effect, external debt would have increased by $51 billion until March 2025.
- Long-term external debt--with an original maturity of more than one year--stood at $613.5 billion at the end of March 2026, up $11.6 billion from a year ago. Its share in total external debt declined marginally as short-term borrowings grew at a faster pace.
- The share of short-term debt, with an original maturity of up to one year, increased to 19.6 per cent of total external debt at the end of March 2026 from 18.3 per cent a year earlier. The ratio of short-term debt to foreign exchange reserves also rose to 21.6 per cent from 20.1 per cent during the period.
- On a residual maturity basis, which includes long-term debt maturing within the next 12 months, short-term debt accounted for 42.9 per cent of total external debt at the end of March 2026, compared with 41.2 per cent a year ago. The ratio of such debt to foreign exchange reserves increased to 47.3 per cent from 45.4 per cent.

## 18. 10 more jurisdictions come under RBI's State Development Loans framework

- The Reserve Bank of India (RBI) extended its pilot Benchmark Issuance Strategy (BIS) for state government securities to 10 more jurisdictions, including nine states and the Union Territory of Delhi, While indicating that states and UTs are expected to raise Rs. 3.19 trillion through market borrowings during the July-September quarter of the current financial year, lower than market expectations of Rs. 3.4 trillion-Rs 3.5 trillion.
- The BIS framework, introduced on a pilot basis in the first quarter of FY27 with nine states, involves issuing state development loans (SDLs) in pre-announced benchmark maturity buckets to improve transparency and provide greater clarity to investors.
- From the second quarter, the framework will also cover Delhi, Himachal Pradesh, Jharkhand, Manipur, Meghalaya, Odisha, Punjab, Sikkim, Uttarakhand and West Bengal, taking the total number of participating jurisdictions to 19.
- These states will issue securities across pre-defined benchmark maturity buckets in line with a pre-announced borrowing calendar.
- The move is aimed at reducing fragmentation in the SDL market by concentrating issuances in standardised tenors, thereby creating larger and more liquid benchmark securities. This is expected to enhance price discovery and provide investors with better visibility on supply.
- The RBI released an indicative borrowing calendar for the 18 states and Delhi that have adopted the framework, while a separate calendar was issued for the remaining states and Union Territories, which the central bank said are also expected to adopt the BIS going forward.
- The central bank said the actual size of individual auctions and participating states would depend on borrowing requirements, approvals from the Centre under Article 293(3) of the Constitution, and prevailing market conditions. The RBI added that it may modify auction dates and amounts in consultation with the respective state governments and UTs.
- The gross amount raised by states through state government securities (SGS) increased to Rs. 12.76 trillion in 2025-26 from Rs. 10.73 trillion in the previous year. The amount raised during the year as a percentage of total sanctions rose to 93.6 per cent from 91.4 per cent in 2024-25.
- During 2025-26, 19 states or Union Territories availed themselves of the special drawing facility, with 11 of them resorting to Ways and Means Advances (WMA) and 10 using overdrafts on a few occasions.

- The WMA limit for the Central government was fixed at Rs. 1.5 trillion for the first half and Rs. 0.5 trillion for the second half of 2025-26.

## 19. Now, over a third of term deposits Rs. 5 crore+ accounts: RBI data

- India's banking system is becoming increasingly dependent on large-ticket fixed deposits, with deposits of Rs. 5 crore and above now accounting for more than one-third of such deposits, according to the new data released by the Reserve Bank of India (RBI).
- The RBI's Annual Basic Statistical Returns data for FY26 showed that deposits of Rs. 1 crore and above accounted for 46.3 per cent of all term deposits as of end-March 2026, continuing a steady rise over the past few years.
- The share of such deposits stood at 45.07 per cent at end-March 2025 and 43.66 per cent at endMarch 2024.
- Within this category, deposits of '5 crore and above alone accounted for 34.8 per cent of term deposits as of end-March 2026. However, these deposits constituted just 0.05 per cent of term deposit accounts by number, indicating an increasing concentration of deposits among a small set of large depositors.
- The data also showed that nearly 38 per cent of term deposits were Rs. 3 crore and above categories that fall outside retail deposits, typically defined as deposits up to Rs. 2 crore. In contrast, term deposits of up to Rs. 5 lakh accounted for only 17.8 per cent of term deposits as of end-March 2026.
- 'Banks have also been offering attractive rates on deposits above Rs. 5 crore, with certificate of deposit rates currently around 7.5-7.75 per cent, making them competitive versus debt mutual funds or gilt funds. That said, banks are generally more comfortable with granular retail deposits than with large-ticket deposits,' the banker added.
- The trend comes at a time when banks have been facing intense competition for retail deposits, forcing them to increasingly rely on bulk deposits to support balance-sheet growth.
- The data also pointed to a structural shift in the composition of deposits over the past five years. The share of savings deposits in aggregate deposits declined to 28.7 per cent in March 2026 from 34.6 per cent in March 2022. In contrast, the share of term deposits rose to 61.6 per cent from 55.2 per cent during the same period, reflecting depositors' preference for higher-yielding fixed-income instruments amid elevated interest rates.
- Public sector banks emerged as the largest contributors to deposit accretion during FY26, accounting for 50.8 per cent of incremental deposits, followed by private sector banks with a contribution of 38.6 per cent. Regional rural banks, however, saw their share in deposit mobilisation decline to 2.9 per cent in March 2026 from 3.2 per cent four years earlier.
- The maturity profile of deposits has also undergone a significant shift. The share of term deposits with original maturity between one and three years rose to 69.8 per cent in March 2026 from 50.4 per cent in March 2022. At the same time, the proportion of deposits with maturity of up to one year declined sharply to 8.8 per cent from 16.7 per cent.
- Meanwhile, the data also showed that the share of term deposits carrying interest rates below 7 per cent surged to 61.8 per cent in March 2026 from 27.3 per cent in the previous year.
- Households continued to remain the largest source of deposits, accounting for 59.3 per cent of total deposits as of end-March 2026, though their share moderated in recent years.
- Deposits from the non-financial sector rose to 18.5 per cent from 17.7 per cent a year earlier, while the share of financial corporations increased to 7.8 per cent from 6.8 per cent.
- The share of senior citizens in total deposits remained broadly stable over the last four financial years and stood at 20 per cent in March 2026, according to the RBI data.
- Meanwhile, RBI data showed that the share of bank loans carrying interest rates below 9 per cent rose sharply to 64.2 per cent as of end-March 2026 from 43.9 per cent a year earlier, reflecting the transmission of monetary policy actions into lending rates. Within term loans, which accounted for 62.8 per cent of total bank credit, the share of loans carrying interest rates below 10 per cent stood at 80.2 per cent.
- The RBI data also pointed to a moderation in personal loan growth to 12.9 per cent on-year, after several years of outpacing overall credit growth. Additionally, lending to the private corporate sector gained

momentum. Loans to this sector, which accounted for more than onefourth of total bank credit, grew 15.5 per cent in FY26, compared with 11.9 per cent a year earlier.

- Agricultural credit growth accelerated to 14.4 per cent from 8.1 per cent a year earlier, while industrial credit growth rose to 12 per cent from 9.4 percent.

## 20. RBI recognises Sahamati Foundation as SRO for account aggregator ecosystem

- The Reserve Bank of India (RBI) recognised Sahamati Foundation as the self-regulatory organisation (SRO) for the Account Aggregator (AA) ecosystem.
- The AA ecosystem has 1,120 live regulated financial entities, 176 Financial Information Providers (FIPs), 1,020 Financial Information Users (FIUs), and 17 operational Account Aggregators.
- Sahamati claims that the AA framework has facilitated over 450 million fulfilled consent requests, enabled more than 294 million linked accounts, and now supports over 290 million monthly data shares across lending, insurance, wealth management and personal finance use cases.
- Account Aggregators (AAs) use technology to assist in the simple and secure exchange of data between financial institutions such as banks, insurance agencies and mutual fund companies. This information cannot be shared without consent, according to Sahamati.

## 21. RBI fines Canara Bank for violations related to KYC, inactive accounts

- The Reserve Bank said it has imposed a penalty of Rs 41.8 lakh on Canara Bank for noncompliance with certain provisions, including those related to Know Your Customer norms.
- After a supervisory evaluation (ISE 2025) of the bank with reference to its financial position as on March 31, 2025, the RBI found that Canara Bank did not upload KYC records of certain customers onto Central KYC Records Registry (CKYCR) within the prescribed timeline.
- The bank also classified certain accounts as inoperative, despite the last customer-induced transaction being less than one year old in such accounts.
- A penalty of Rs 3.1 lakh has also been imposed on Puran Associates Pvt Ltd for noncompliance with certain provisions of the RBI directions on 'asset classification'.
- In both cases, the RBI said penalties are based on deficiencies in regulatory compliance and not intended to pronounce upon the validity of any transaction or agreement entered into by the entities with their customers.

## 22. RBI cancels registration certificates of 135 NBFCs, most in West Bengal

- The Reserve Bank of India (RBI) said it has cancelled the certificate of registration of 135 nonbanking finance companies.
- These include companies such as Express Fincap House, Akshay Fiscal Services, Times Finance (P), Jupiter Projects (P), Jupiter Finvest, Essel Finance Business Loans, and Citiwide Financial Services.
- The majority of the NBFCs, whose certificates of registration were cancelled, had a registered office address in West Bengal, an RBI release showed.
- Separately, 13 non-banking finance companies have surrendered their certificates of registration to the central bank due to exiting the business or , ceasing to be legal entities following amalgamation/merger/dissolution/voluntary strike.
- J. Thomas Finance, Econ-Super Sales, Hitesha Finance and Investment, Tinnevelly Tuticorin Investments, Carnex Vinimay, and Impact Leasing surrendered their licences due to exit from Non-Banking Financial Institution (NBFI) business, the release said.
- Further, Forerunner Capital Investments' licence was surrendered due to meeting the criteria prescribed for unregistered Core Investment Company (CIC) that do not require registration.
- NBFCs such as Caspian Impact Investments, Hari Darshan Sales, Ivory Consultants, SKA Consultancy Services, Trishita Management, and Suban Trades surrendered their licence due to the NBFC ceasing to be a legal entity due to amalgamation/ merger/dissolution/ voluntary strike-off, etc, the release added.

## 23. RBI imposes monetary penalty on Repco Home Finance Limited

- The Reserve Bank of India (RBI) has, by an order dated June 05, 2026, imposed a monetary penalty of Rs. 70,000/- (Rupees Seventy thousand only) on Repco Home Finance Limited (the company) for non-compliance with certain directions issued by RBI on 'Fair Practice Code'.
- The Reserve Bank of India (RBI) has, by an order dated June 5, 2026, imposed a monetary penalty of Rs. 3.10 lakh (Rupees Three Lakh Ten Thousand only) on True Credits Private Limited (the company) for non-compliance with certain provisions of the 'Reserve Bank of India (Know Your Customer (KYC)) Directions' issued by RBI. This penalty has been imposed in exercise of powers conferred on RBI under section 58G(1)(b) read with section 58B(5)(aa) of the Reserve Bank of India Act, 1934.
- The Reserve Bank of India (RBI) has, by an order dated June 5, 2026, imposed a monetary penalty of Rs. 3.90 lakh (Rupees Three Lakh Ninety Thousand only) on IIFL Samasta Finance Limited (the company) for non-compliance with certain provisions of 'Reserve Bank of India (Know Your Customer (KYC)) Directions' and 'Reserve Bank of India (Fraud Risk Management in NBFCs) Directions'. This penalty has been imposed in exercise of powers conferred on RBI under section 58G(1)(b) read with section 58B(5)(aa) of the Reserve Bank of India Act, 1934.
- The Reserve Bank of India (RBl) has, by an order dated June 4, 2026, imposed a monetary penalty of Rs. 50,000/- (Rupees Fifty Thousand only) on The Amravati Merchants Sahakari Bank Ltd., Amravati, Maharashtra (the bank) for non-compliance with certain directions issued by RBI on 'Loans and Advances to Directors, their Relatives, and Firms / Concerns in which they are Interested'. This penalty has been imposed in exercise of powers conferred on RBI, under the provisions of Section 47A(1)(c) read with Sections 46(4)(i) and 56 of the Banking Regulation Act, 1949.
- The Reserve Bank of India (RBI) has, by an order dated June 3, 2026, imposed a monetary penalty of Rs. 3 lakh (Rupees Three Lakh only) on The Karnal Central Cooperative Bank Limited, Haryana (the bank) for non-compliance with certain directions issued by RBI on 'Know Your Customer (KYC)'. This penalty has been imposed in exercise of powers conferred on RBI under the provisions of Section 47A(1)(c) read with Sections 46(4)(i) and 56 of the Banking Regulation Act, 1949.

## 24. RBI imposes monetary penalty on Hutatma Sahakari Bank Ltd., Walva, Maharashtra

- The Reserve Bank of India (RBI) has, by an order dated June 19, 2026, imposed a monetary penalty of Rs. 5 lakh (Rupees Five Lakh only) on Hutatma Sahakari Bank Ltd., Walva, Maharashtra (the bank) for non-compliance with certain directions issued by RBI on 'Loans and Advances to Directors, their Relatives, and Firms / Concerns in which they are Interested'.
- The Reserve Bank of India (RBI) has, by an order dated June 15, 2026, imposed a monetary penalty of Rs.1 lakh (Rupees One Lakh only) on The Shimoga District Co-operative Central Bank Ltd., Karnataka (the bank) for contravention of provisions of Section 20 read with Section 56 of the Banking Regulation Act, 1949 (BR Act). This penalty has been imposed in exercise of powers conferred on RBI under the provisions of Section 47A(1)(c) read with Sections 46(4)(i) and 56 of the BR Act.
- The Reserve Bank of India (RBI) has, by an order dated June 15, 2026, imposed a monetary penalty of Rs.1 lakh (Rupees One Lakh only) on The Chittoor District Co-operative Central Bank Ltd., Andhra Pradesh (the bank) for contravention of provisions of Section 20 read with Section 56 of the Banking Regulation Act, 1949 (BR Act). This penalty has been imposed in exercise of powers conferred on RBI under the provisions of Section 47A(1)(c) read with Sections 46(4)(i) and 56 of the BR Act.
- The Reserve Bank of India (RBI) has, by an order dated June 19, 2026, imposed a monetary penalty of Rs.3 lakh (Rupees Three Lakh only) on Sultanpur Jilla Sahkari Bank Ltd., Uttar Pradesh (the bank) for contravention of the provisions of Section 26A read with Section 56 of the Banking Regulation Act, 1949 (BR Act) and for non-compliance with certain directions issued by RBI on 'Membership of Credit Information Companies (CICs) by Co-operative Banks' and 'Know Your Customer (KYC)'. This penalty has been imposed in exercise of powers conferred on RBI under the provisions of Section 47A(1)(c) read with Sections 46(4)(i) and 56 of the BR Act and Section 25 read with Section 23 of the Credit Information Companies (Regulation) Act, 2005.
- The Reserve Bank of India (RBI) has, by an order dated June 18, 2026, imposed a monetary penalty of Rs.6.20 lakh (Rupees Six Lakh Twenty Thousand only) on Five Star Business Finance Limited (the company)

for non-compliance with certain provisions of 'Reserve Bank of India (Know Your Customer (KYC)) Directions' and the directions issued by RBI on 'Fair Practice Code'. This penalty has been imposed in exercise of powers conferred on RBI under Section 58G(1)(b) read with Section 58B(5)(aa) of the Reserve Bank of India Act, 1934.

- The Reserve Bank of India (RBI) has, by an order dated June 18, 2026, imposed a monetary penalty of Rs.2.70 lakh (Rupees Two Lakh Seventy Thousand only) on Can Fin Homes Limited (the company) for non-compliance with certain provisions of the directions issued by RBI on 'Fair Practices Code'. This penalty has been imposed in exercise of the powers conferred on RBI under Section 52A of the National Housing Bank Act, 1987.
- The Reserve Bank of India (RBI) has, by an order dated June 18, 2026, imposed a monetary penalty of Rs.3.10 lakh (Rupees Three Lakh Ten Thousand only) on Pahal Financial Services Private Limited (the company) for non-compliance with certain provisions of the 'Reserve Bank of India (Know Your Customer (KYC)) Directions' issued by RBI. This penalty has been imposed in exercise of powers conferred on RBI under section 58G(1)(b) read with section 58B(5)(aa) of the Reserve Bank of India Act, 1934.

## 25. UPI transactions scale fresh peak in May 2026; value rises to Rs. 29.90 trillion

- Unified Payments Interface (UPI) transactions posted a record value and volume during May, with the value rising 3 per cent to Rs. 29.90 trillion from Rs. 29.03 trillion in April.
- During the period under review, volume also grew to 23.20 billion, up 4 per cent from 22.35 billion in April, said data from the National Payments Corporation of India (NPCI).
- This is the highest-ever volume and value clocked since UPI became operational in April 2016.
- The more meaningful story is structural. The RBI's Payments Systems Report shows UPI's average ticket size has declined from Rs. 1,848 in 2021 to Rs. 1,313 in 2025.

## 26. jUMPP Secures NPCI Approval, Launches UPI Services

- AI-powered fintech platform jUMPP has received approval from the National Payments Corporation of India (NPCI) as a Third Party Application Provider (TPAP), allowing it to offer UPI services on its platform.
- The development comes about a month after jUMPP secured approval from the Insurance Regulatory and Development Authority of India (IRDAI) to distribute insurance products.
- Founded by Sarvjeet Singh Virk, jUMPP currently offers investment products such as digital gold, mutual funds, and SIPs.
- With the addition of UPI, users will be able to make peer-to-peer transfers, merchant payments, bill payments, and mobile recharges through the app.
- The startup has partnered with YES Bank for banking and Bharat Bill Payment System (BBPS) services. It also uses the Account Aggregator framework to provide users with a consolidated view of their financial accounts.
- The company is focused on users in Tier II and Tier III cities and has expanded its product suite with the addition of UPI services.
- As digital payments become central to everyday financial behaviour in India, jUMPP's expanded capabilities reinforce its vision of making money management simpler, smarter, and more accessible for users across Bharat.

## 27. UPI goes live in Cambodia

- Unified Payments Interface (UPI) has gone live in Cambodia, allowing Indian visitors to make payments directly through mobile apps at more than 4 million merchant outlets across the country.
- The move marks another step in India's efforts to take its home-grown digital payments infrastructure global and make overseas spending simpler for travellers.
- The facility has been launched through a partnership between NPCI International Payments Limited (NIPL), the international arm of the National Payments Corporation of India (NPCI), and Cambodia's ACLEDA Bank Plc. The arrangement connects India's UPI network with Cambodia's national QR payment ecosystem, known

as KHQR, which operates under the Bakong digital payment system. Based on NIPL's international merchant acceptance network, UPI acceptance is currently available in:

### 28. Bhutan

### 29. France

### 30. Mauritius

### 31. Nepal

### 32. Singapore

### 33. Sri Lanka

### 34. United Arab Emirates

### 35. Qatar

### 36. Cambodia

### 37. Nuvama gets Sebi's green light to commence its mutual fund business

- Nuvama Wealth Management Ltd said it has received final approval from markets regulator Sebi to commence mutual fund operations through its asset management arm, Nuvama Asset Management.
- The approval paves the way for the company to establish its mutual fund business and expand its asset management offerings.
- Nuvama said its asset management company will initially seek regulatory approvals to launch investment products under the Specialised Investment Fund (SIF) framework, followed by a broader range of mutual fund products over time.
- The company plans to begin with Specialised Investment Funds, leveraging its experience in managing differentiated public market strategies.
- Nuvama said it is entering the mutual fund industry at a time when the sector's assets under management have crossed '80 lakh crore, supported by rising retail participation, increasing financial awareness and growing adoption of SIPs.

### 38. SEBI revises ETF trading norms, introduces dynamic price bands

- The Securities and Exchange Board of India (SEBI) has issued a new framework for exchangetraded funds (ETFs), revising norms related to base price determination, price bands, pre-open call auctions and close-out procedures.
- The regulator said the changes are aimed at addressing issues arising from the one-day lag in ETF base prices and the mismatch between existing price bands and movements in underlying assets.
- Under the new framework, the base price for ETFs will be the previous day's closing price, calculated as the last 30-minute volume weighted average price (VWAP).
- If no trades occur during the last 30 minutes, the last traded price will be used. If there are no trades on the previous day, the latest available net asset value (NAV) will serve as the base price.
- SEBI said stock exchanges and mutual fund houses should work towards using the previous day's closing NAV as the base price from 1 April 2027.
- The initial price band will be set at 10% and can be expanded up to 20% after a 15-minute cooling-off period if prices hit the upper or lower thresholds.

- The new framework is intended to improve price discovery, align ETF trading mechanisms more closely with underlying asset movements and enhance market efficiency.

## 39. Zerodha Fund House unveils mutual fund industry's first lifecycle funds

- Zerodha Fund House launched the mutual fund (MF) industry's first lifecycle funds, offering investors target-date investment options maturing in 2036 and 2041.
- Lifecycle funds are a new category introduced by the Securities and Exchange Board of India (Sebi) in February 2026 in a bid to expand goal-based investment solutions.
- The category was created to help investors align investments with specific financial milestones such as retirement, children's education or home purchase.
- Under the framework, fund managers follow a pre-defined asset allocation path that gradually reduces risk as the target year approaches, eliminating the need for investors to periodically rebalance their portfolios.
- The two Zerodha schemes will invest in a mix of asset classes including equity, debt and commodities like gold and silver, the fund house said, adding that there will be some arbitrage exposure too.

## 40. SEBI approves GARUDA: A 10-day green channel overhaul for Indian AIFs

- The Securities and Exchange Board of India (SEBI) has approved the GARUDA (GreenChannel: AIF Rollout Upon Document Acknowledgement) mechanism, transitioning the Alternative Investment Fund (AIF) framework from a traditional pre-clearance model to a fasttrack, accountability-driven disclosure model.
- By introducing this regulatory green channel, SEBI aims to eliminate bureaucratic friction and accelerate time-to-market for fund managers, allowing private capital to flow into the economy much faster.
- Under the newly overhauled structure, SEBI has categorised AIF schemes to streamline approvals based on investor sophistication. Angel Funds and Accredited Investor-only (AIonly) schemes can now launch immediately once the Private Placement Memorandum (PPM) is filed and SEBI acknowledges receipt, completely bypassing the previously mandatory merchant banker certification.
- For these specialized funds, the responsibility of compliance shifts entirely to self-certification by the fund's CEO and Compliance Officer. Meanwhile, Regular Schemes will benefit from a vastly compressed 10-working-day approval window, while Large Value Funds (LVFs) continue to operate under their pre-existing fast-track waivers.

## 41. Decentro secures final payment service provider licence at GIFT City

- Fintech infrastructure platform Decentro announced it has received final approval for a Payment Service Provider (PSP) licence from the International Financial Services Centres Authority (IFSCA) at GIFT City, strengthening its presence in the cross-border payments space.
- With this, Decentro has become the first Indian payment aggregator to secure the approval.
- With the licence, Decentro has established an entity in GIFT City and plans to offer a full-stack cross-border payments infrastructure for global businesses.

## 42. LEXI Receives In-Principle Approval from IFSCA to Operate as Payment Service Provider at GIFT-IFSC

- Lexi Money IFSC Private Limited (LEXI) has received in-principle approval from the International Financial Services Centres Authority (IFSCA) to operate as a Payment Service Provider (PSP) at GIFT-IFSC, Gandhinagar.
- The approval positions LEXI among a select group of fintechs licensed to provide cross-border payment services from within India's designated international financial hub.
- India's combined merchandise and services exports are estimated at $860 billion in FY2025-26, according to the Ministry of Commerce and Industry.
- The Government of India has set a target of $2 trillion by 2030 -- more than doubling the country's export footprint in under five years.

- Achieving that target is as much a financial infrastructure challenge as it is a trade policy one.
- International trade is structurally complex: exporters operate across multiple payment instruments and trade structures, each with distinct risk profiles, documentation requirements, and settlement timelines.
- Beyond the mechanics of the transaction itself, significant value routinely slips through the cracks
- GST refunds delayed or left unpursued, export incentives and government rebate schemes unclaimed due to documentation gaps, and working capital tied up in receivables that take weeks to land. Much of this is a compliance and documentation problem: exporters who don't have the right paperwork in place don't just face delays, they forfeit entitlements.

## 43. BharatPe launches BharatPe Flex, a Credit-on-UPI solution powered by YES BANK

- BharatPe, India's leading financial services and UPI payments company, today announced the launch of 'BharatPe Flex', a Credit-on-UPI solution powered by YES BANK, designed to enable customers to make everyday UPI payments with greater flexibility and control.
- With BharatPe Flex users can continue making payments across existing UPI ecosystems, including in-shop QR-code payments, online transactions, bill payments, recharges, travel, shopping, fuel and other daily spends, while accessing the flexibility of a credit line integrated into the UPI experience.
- BharatPe Flex offers users the option to repay in full within the billing cycle or convert spends into flexible EMIs, depending on their repayment preference. Users can pay on UPI and settle dues within up to 45 days of interest-free period, while benefiting from a fully digital onboarding and activation journey with approvals within three minutes for eligible users.
- Nalin Negi, CEO- BharatPe

## 44. PhonePe to charge Rs. 100 quarterly fee on inactive wallets

- Digital payments and financial services company PhonePe has introduced a 'wallet inactivity maintenance fee' of Rs 100 per quarter for inactive wallets.
- The levy will be deducated from the existing wallet balance.
- "If wallet balance is less than the Wallet Maintenance Fee, then the entire wallet balance will be debited and wallet balance will become zero," it said, adding that the balance would never be negative.
- According to PhonePe, a wallet will be marked as 'inactive' if a user has not made any financial transactions through the PhonePe Wallet in the past 365 days.
- Other user activities such as ogging in to the PhonePe application, performing UPI transactions, on-app category payments or applications (recharge, bill payments, credit cards, loans, insurance) or any other non-wallet transactions or KYC submission for wallet do not constitue wallet activity, and hence will not impact the wallet getting an 'inactive' status.
- The digital payment platform notifies a user about a wallet becoming 'inactive' multiple times across 15 days before charging the fee, along with steps to re-activate the wallet.

## 45. Cross-border payments platform Skydo secures Canada registration

- Elevation Capital backed Skydo has secured an international payments licence in Canada, becoming the first Indian cross-border payments platform to be licensed overseas, in a move that marks its first regulatory approval outside India and advances its global expansion.
- The licence enables the company to support two-way payment flows between India and Canada, including local collections and payouts, and expands its offering beyond international collections into a broader suite of cross-border payment services.
- The firm will continue to offer transparent flat pricing across corridors, with fees of $19 for transactions up to $2,000, $29 for transactions up to $10,000 & 0.3% for higher-value transactions.
- The development reflects wider trend of Indian fintech firms expanding globally by securing local regulatory approvals & building capabilities across international payment corridor

- Canada represents a strategic market, with annual exports and imports exceeding CAD 1 trillion. India-Canada bilateral trade stands at around CAD 13.6 billion, with a stated ambition to reach CAD 70 billion by 2030.

## 46. Build Credit, Earn Cashback: Paisabazaar and SBM Bank India Launch Paisa+ Secured Credit Card

- Paisabazaar, India's leading financial marketplace, and SBM Bank India announced the launch of SBM Paisabazaar Paisa+ Credit Card - a Fixed Deposit-backed credit card designed to help consumers start building or strengthen their credit health, while earning cashback on everyday spends.
- Backed by an FD, SBM Paisabazaar Paisa+ Credit Card aims to bridge a key gap in India's credit landscape by enabling consumers with limited or no credit history to begin their credit journey. The card would also benefit those with a damaged credit profile, to improve their credit score, through responsible card usage.
- Along with an opportunity to build their credit profile and earn strong FD returns up to 7% p.a., the card offers cashback across online, offline and UPI transactions, ensuring users earn value on their everyday spending.

# Part I — Notes: Economy

## 1. Central Government temporarily exempts all customs duties on import of cotton from 1st June, 2026 till 31st October, 2026

- To augment availability of cotton for the Indian textile sector, the Central Government has temporarily exempted all customs duties on import of cotton from 1st June, 2026 till 31st October, 2026.
- The temporary duty exemption is expected to reduce input costs across the textile and apparel sector, thereby providing a targeted relief to manufacturers and consumers, while also keeping the interests of domestic farmers in mind.
- Overall, the measure is anticipated to have a positive impact on the performance of the domestic textile industry, especially the small and medium enterprises, by ensuring better availability of cotton in the market.

## 2. Government revises fuel export levies for fortnight beginning June 1, domestic rates unchanged

- The Central government has revised export levies on petrol, diesel and aviation turbine fuel (ATF) for the fortnight beginning June 1.
- The duty has been set at Rs. 1.5 per litre on petrol exports, Rs. 13.5 per litre on diesel exports and Rs. 9.5 per litre on ATF exports, as per an official notification.
- However, the Centre has left excise duty rates on petrol and diesel sold in the domestic market unchanged.
- According to the notification, the revised rates have been prescribed based on the average international prices of crude oil, petrol, diesel and ATF prevailing during the period since the last review.
- The export levies were introduced on March 27, 2026, to ensure domestic availability of petroleum products by discouraging exports in the backdrop of the West Asia crisis. The last revision came into effect on May 16, 2026.
- On May 16, the government revised export taxes on petroleum products, imposing a special additional excise duty (SAED) of Rs. 3 per litre on petrol exports while reducing the duty on diesel to Rs. 16.5 per litre.

## 3. Cabinet approves Rs. 10,000 crore aviation fuel price stabilization support

- The Union Cabinet, chaired by Prime Minister Shri Narendra Modi, has approved a one-time budgetary support of up to Rs. 10,000 crore for Oil Marketing Companies (OMCs) to provide Aviation Turbine Fuel (ATF) price stabilization support to Scheduled Indian Airlines for their domestic and international operations.
- Earlier, under the Emergency Credit Line Guarantee Scheme (ECLGS), nearly Rs. 5,000 crore was earmarked for airlines, providing critical liquidity support. Today, the Cabinet has once again taken a far-reaching decision by approving Rs.10,000 crore of interest-free support to OMCs for ATF price stabilization.
- The ATF price stabilization support mechanism will remain operational for a period of thirtysix months with provision for annual review or until the advance amount is fully recovered and settled, whichever is earlier.
- A Monitoring Committee comprising representatives of the Ministry of Civil Aviation, Ministry of Petroleum and Natural Gas and Department of Expenditure shall oversee implementation, claim verification, reconciliation and settlement.

## 4. Cabinet approves Ahmedabad Metro Rail project Phase 2A (Koteshwar Road to Airport corridor)

- The Union Cabinet chaired by the Prime Minister Shri Narendra Modi has approved Phase 2(A) of Ahmedabad Metro Rail Project with corridor for a length of 6.032 Km with 05 stations (04 Elevated and 01 underground). On operationalisation of Phase 2(A), Ahmedabad-Gandhinagar will have 77.63 Km of active Metro Rail Network.
- The names of stations in the Phase 2(A) Corridor are- Ashram Road, Koteshwar Prachin Mandir, Sabarmati River, Sardar Nagar and Airport.

- The total completion cost including IDC (Interest during Construction) for the project will be Rs.2,169.04 crore.
- This phase aims to seamlessly integrate key zones, including residential & Commercial hubs with existing Ahmedabad-Gandhinagar corridor. Further, likelihood of sports facilities also being developed in the vicinity for the World Police Games 2029 and Commonwealth Games 2030.

## 5. Cabinet approves the construction of the General Pool Residential Accommodation (GPRA) at New Capital City, Amaravati, AP

- The Cabinet Committee on Economic Affairs, chaired by the Prime Minister Shri Narendra Modi has approved the construction of the General Pool Residential Accommodation (GPRA) at New Capital City, Amaravati, Andhra Pradesh. This marks the first GPRA project in the capital city of Amaravati, as well as within the State of Andhra Pradesh.
- The objective of the proposal is to alleviate the financial burden on Central Government employees by providing adequate residential accommodation, thereby enhancing their morale, promoting integrity, and contributing to their overall well-being. Further, by enabling staff to reside in close proximity to their workplaces, the project will support efficient government functioning and ensure that employees remain readily available to discharge their official duties effectively.
- The General Pool Residential Accommodation (GPRA) Campus in the New Capital City of Amaravati, Andhra Pradesh, is planned over an area of 17 acres. The development comprises 11 residential towers with a total of 1,504 dwelling units, ranging from Type II to Type VI, including refuge areas. The project provides basement parking facilities accommodating 1,972 Equivalent Car Spaces (ECS). The total built-up area of the project is 31.30 lakh sqft. (2,90,762 sqm), including a basement area of 9.10 lakh sqft. (84,394 sqm).
- The General Pool Residential Accommodation (GPRA) Campus in the New Capital City of Amaravati, Andhra Pradesh, will be equipped with essential civic and community amenities, including a bank and ATM, post office, crche, community hall with dining facilities, food court, shopping complex, service centre, and guest house. The campus will incorporate a barrier-free built environment to ensure accessibility and convenience for Divyangjan (Persons with Disabilities), in compliance with applicable accessibility standards.
- The project is expected to generate significant direct and indirect employment opportunities for skilled, semi-skilled, and unskilled workers. It is estimated to create approximately 7.00 lakh man-days of employment per annum during the construction phase, followed by the sustained generation of around 50,000 man-days of employment per annum during the operational phase. PROJECT COST & FUNDING
- The estimated cost of the project is Rs. 1,234.91 crores, which will be funded by the Government of India through budgetary support under the Head of Account: 4216 ' Capital Outlay on Housing (Residential Buildings) ' Voted. PRE-PROJECT ACTIVITIES
- The project will be executed by the Ministry of Housing & Urban Affairs through the Central Public Works Department (CPWD). Pre-bid activities have already commenced, and the preparation of tender documents is presently in progress.

## 6. Government exempts higher ethanol-blended petrol from excise duty

- The Centre has exempted petrol blended with higher proportions of ethanol from central excise duty, a move aimed at promoting the use of cleaner fuels and accelerating the country's ethanol blending programme.
- According to a notification issued by the Department of Revenue, petrol containing 22 per cent to 30 per cent ethanol will attract nil excise duty.
- The notification inserts separate entries for E22, E25, E27 and E30 petrol blends and prescribes a nil duty rate for such fuels, subject to specified conditions and compliance with Bureau of Indian Standards (BIS) specifications.
- The decision comes after India achieved its target of 20 per cent ethanol blending in petrol and is now exploring the adoption of higher blends.
- The government has been encouraging ethanol use as part of its strategy to reduce dependence on crude oil imports, improve energy security and lower carbon emissions.

- The policy is also expected to benefit sugar mills and grain-based distilleries, which have emerged as key suppliers of ethanol under the blending programme.

## 7. Govt offers retrospective tax relief for nuclear power equipment imports

- India's finance ministry waived customs duties on 'all goods imported for nuclear power generation, covering imports made between April 1, 2019 and January 31, 2026, 'according to a government order dated June 11 2026.
- The move grants retrospective tax relief to eligible imports used in the country's nuclear power sector and is expected to lower project costs for operators and equipment suppliers.
- In the Union Budget presented in February, the government had extended the customs-duty exemption on imports required for nuclear power projects until 2035 as part of efforts to boost clean-energy capacity. The latest order applies the benefit retrospectively to imports made during the nearly seven-year period beginning in April 2019.
- The exemption covers specified goods imported for nuclear power generation under designated customs tariff categories. The government has been pushing to expand nuclear energy as part of its long-term energy transition strategy and has set a target of achieving 100 gigawatts of nuclear power capacity by 2047.

## 8. Cabinet approves Upgradation of the Khagaria-Purnea Section of NH-31 and NH-231 to the 4-Lane Standard (143. 529 kms)

- The Cabinet Committee on Economic Affairs, chaired by the Prime Minister Shri Narendra Modi, today has approved upgradation of the Khagaria-Purnea Section of NH-31 and NH-231 to the 4-Lane Standard (143. 529 kms) in Bihar on BOT (Toll) Mode at a cost of Rs.3936.05 crore.
- The proposed upgradation of the Khagaria-Purnea Section of NH-31 and NH-231in Bihar will address severe geometric deficiencies, sharp curves, and congestion in built-up areas across Khagaria, Bhagalpur, Katihar and Purnia district. An extended Greenfield Bypass of Purnea City of 6.729 Km length will be developed as part of instant project.
- The project will increase average travel speeds, reduce travel time to about two hours, and improve overall road safety, fuel efficiency, and vehicle operating costs, thereby enhancing regional mobility and socio-economic development.
- The project provides seamless connectivity to key economic, social, and logistics nodes across Bihar. Additionally, the upgraded corridor will enhance multi-modal integration by connecting with 05 PM Gati-Shakti Economic Nodes (01 Textile Cluster, 02 Mega Food Park, 02 Fishing Seafood Park) and 11 Logistic Nodes (04 Major Railway Stations, 01 Airport, 04 NHs, 02 SHs), thereby facilitating faster movement of goods and passengers across the region. Project Details Feature Project Name Corridor Length (km) Total Civil Cost (Rs in Cr.) Land Acquisition Cost (Rs in Cr.) Total Capital Cost (Rs in Cr.) Mode Bypasses Details Upgradation of the Khagaria-Purnea Section of NH-31 and NH-231 to the 4-Lane Standard (143. 529 kms) in the State of Bihar on BOT (Toll) Mode Patna- Purnea 143.529 2467.77 290.16 3936.05 BOT (Toll) Greenfield Purnea Bypass of 6.729 Km length Major Roads Connected National Highways ' NH-27, NH-13, NH131A and NH-231 State Highways ' SH-95 and SH-77 Economic / Social / Airport: Purnea Railway Stations: Khagaria, Transport Nodes Connected Bhagalpur, Katihar, Purnia Economic Nodes: 01 Textile Cluster, 02 Mega Food Park, 02 Fishing Seafood Park Major Cities / Towns Khagaria, Bhagalpur, Katihar, Purnia Connected Employment Generation 32.59 lakhs person-days (direct) & 40.55 Potential lakh person-days (indirect)

## 9. India's Seafood Exports Reach Record High of Rs. 73,890 Crore in FY 2025'26

- India exported 19,72,018 metric tonnes (MT) of seafood valued at Rs. 73,890.46 crore (USD 8.46 billion) during FY 2025- 26, registering an all-time high in both volume and value despite challenging global market conditions, said Chairman, Marine Products Export Development Authority (MPEDA), Shri P. Jawahar, IAS.
- The United States and China continued to be the principal importers of Indian seafood during the year.

- Frozen shrimp remained the leading export item, contributing '49,037.93 crore (USD 5,624.48 million). It accounted for 40.19 per cent of the total export quantity and 66.52 per cent of the total export earnings in US dollar terms.
- During FY 2025- 26, shrimp exports registered a growth of 13.16 per cent in rupee value and 8.64 per cent in dollar value.
- A total of 7,92,647 MT of frozen shrimp was exported during the year. The United States remained the largest market for frozen shrimp imports from India, importing 2,56,128 MT, followed by China (1,69,505 MT), the European Union (1,35,599 MT), Southeast Asia (83,810 MT), Japan (40,776 MT), the Middle East (30,478 MT), and other countries combined (76,351 MT). Exports of Litopenaeus vannamei (L. vannamei) and Black Tiger shrimp recorded growth in both volume and value.
- Frozen fish emerged as the second-largest exported seafood item, generating Rs. 5,658.37 crore (USD 643.70 million).
- Dried seafood products ranked third, earning Rs. 5,079.09 crore (USD 577.44 million), and registered a positive growth trend of 78.05 per cent in rupee value terms.
- Exports of frozen squid reached 1,02,060 MT, earning Rs. 4,493.80 crore (USD 513.84 million).
- China emerged as the largest destination for Indian seafood exports in terms of quantity, importing 4,90,369 MT worth USD 1,611.32 million.
- The European Union remained the third-largest destination in value terms, importing 2,97,518 MT worth USD 1,592.09 million

## 10. Fitch cuts India's FY27 GDP forecast to 6.4%, warns of US-Iran war impact

- Fitch Ratings lowered its GDP growth projections for the current fiscal to 6.4 per cent from the earlier estimate of 6.7 per cent, saying that the US-Iran war will slow down the economy in the September and December quarters.
- Fitch said it expects a slowdown in economic growth in FY27 from the 7.4 per cent clocked in FY26 as rising prices erode real incomes and dampen consumer spending, amid resilient capital expenditure.
- For FY28, Fitch expects GDP growth to pick up as the energy shock unwinds, with stronger consumer spending and investment translating to a growth rate of 6.7 per cent for the full financial year, and ease towards trend growth of 6.4 per cent in FY29.
- Fitch has also lowered its 2026 forecast for global growth by 0.2 pp to 2.4 per cent as world growth prospects have been hurt by the oil crisis prompted by the US-Iran war.
- Fitch has revised its 2026 average price assumption for Brent crude oil to $87 per barrel (bbl), up from the $70/bbl estimated in March.

## 11. India to remain fastest growing economy at 6.6% in FY27, says World Bank

- India is expected to remain the world's fastest-growing major economy in financial year 202627, although growth is projected to ease to 6.6 per cent from 7.7 per cent in the previous fiscal year amid higher energy prices and rising input costs, according to the World Bank's latest Global Economic Prospects report.
- The multilateral lender expects India's growth to recover to 7.2 per cent in fiscal year 2027-28, supported by stronger domestic demand and an improvement in exports. Forecasts published in the report show India growing at 7.7 per cent in FY26, 6.6 per cent in FY27, and 7.2 per cent in FY28.

## 12. May retail inflation marginally rises to 3.93%, food inflation at 4.78%

- India's retail inflation marginally rose in May, with the Consumer Price Index (CPI)-based inflation rising to 3.93 per cent from 3.48 per cent in April, according to data released by the Ministry of Statistics and Programme Implementation (MoSPI).
- The increase was driven largely by a rise in food inflation, which climbed to 4.78 per cent in May from 4.20 per cent in April.

- Among states and Union Territories with a population above 5 million, Telangana recorded the highest inflation in May at 6.15 per cent, followed by Tamil Nadu at 5.11 per cent and Puducherry at 5 per cent, according to MoSPI data. Andhra Pradesh also reported elevated inflation at 4.9 per cent.
- Among major states, Karnataka and Odisha posted inflation of 4.59 per cent and 4.54 per cent, respectively, remaining above the national average of 3.93 per cent. In contrast, Delhi recorded one of the lowest inflation rates at 2.5 per cent, while Tripura reported inflation of 2.02 per cent.
- The rise in headline inflation was more pronounced in rural India. Rural CPI inflation stood at 4.25 per cent in May, compared with 3.53 per cent in urban areas. In April, rural and urban inflation were at 3.74 per cent and 3.16 per cent, respectively.

## 13. India's wholesale inflation rises to 9.68% in May on high fuel, food prices

- India's factory-gate inflation, measured by the wholesale price index (WPI), rose to 9.68 per cent in May from 8.3 per cent in April, according to data released by the Ministry of Commerce and Industry. Higher prices of fuel, food articles and some manufactured goods drove the rise in wholesale inflation, with crude oil costs remaining elevated due to tensions in West Asia.
- In the third month of the crisis, which saw a temporary pause in the conflict after the US-Iran agreement to a ceasefire, inflation in the fuel segment stood at 30.33 per cent compared to 24.71 per cent in the previous month.
- Fuel and power remained the largest contributor to wholesale inflation during the month.
- Within the category, inflation in crude petroleum and natural gas accelerated to 61.51 per cent, while mineral oils recorded inflation of 49.82 per cent.
- The government said mineral oils, crude petroleum and natural gas, chemicals and chemical products, and basic metals were among the major drivers of wholesale inflation in May.
- Food inflation, measured by the WPI Food Index, rose to 4.49 per cent in May from 3.11 per cent in April. Inflation in primary articles increased to 4.99 per cent from 3.78 per cent a month earlier, reflecting higher prices across agricultural commodities.
- Manufacturing inflation also gathered pace, rising to 7.48 per cent in May from 6.68 per cent in April.
- The May data marks the first release under the revised WPI series with a new base year of 2022-23, replacing the 2011-12 series. The government has also introduced new Producer Price Indices (PPIs), including Output PPI, Trial Input PPI and Service PPI for seven services sectors.
- The updated WPI basket has been expanded to 957 items from 697 previously and now includes renewable energy sources such as solar and wind power, along with nuclear electricity. Crude petroleum and natural gas have been moved from the primary articles category to fuel and power to better reflect energy price movements.

## 14. S&P cuts India FY27 growth forecast to 6.6% on energy stress, weak monsoon

- S&P Global Ratings said energy stress, sub-par monsoon and slowing global growth will pull down India's GDP growth to 6.6 per cent in the current fiscal.
- The Indian economy recorded 7.7 per cent growth in the 2025-26 fiscal and 7.1 per cent in 2024-25.
- S&P's FY27 growth projection is in line with the RBI estimate of 6.6 per cent.
- In its report titled 'Economic Outlook Asia-Pacific Q3 2026: AI-Exposed Markets To Outperform', S&P said the region's outlook is shaped by resilient global activity, energy market stress, and an AI-driven tech export boom.
- S&P said consumer inflation would be 0.5-0.6 percentage points higher in the third quarter in India, and it will rise to 5.1 per cent in the current fiscal year as manufacturers pass on higher energy costs to consumers, alongside recent increases in prices of petrol, diesel, and cooking gas.

## 15. Goldman Sachs raises India's CY26 GDP growth forecast to 6.8%

- Goldman Sachs has upgraded India's macroeconomic outlook for calendar year 2026 following the recent US-Iran peace deal, raising its real GDP growth forecast while lowering its inflation and current account deficit projections, citing easing oil prices and improving domestic economic conditions.
- In its latest report titled 'India: Improved macro outlook after the US-Iran deal', the global investment bank said it has revised its forecasts after the sharp decline in crude oil prices reduced risks to the Indian economy.
- On balance, with the recent downward revision in the oil price forecast by our commodities team ($82/bbl average in Q3-Q4 CY26, vs. $92/bbl earlier and $75/bbl average in CY27, vs. $80/bbl earlier), we raise our real GDP growth forecast for CY26 by 0.3pp to 6.8 per cent y-o-y, lower our headline inflation forecast by 0.2pp to 4.4 per cent y-o-y and lower our current account deficit forecast by 0.2pp to 1.1 per cent of GDP.
- According to Goldman Sachs, India's economy has remained resilient despite the disruptions caused by the Middle East conflict, as government fiscal and quasi-fiscal measures helped cushion the impact of higher energy prices on consumers.
- The brokerage said stronger-than-expected economic activity in the first quarter of CY26, along with lower crude oil prices, prompted it to revise its growth outlook upward. India's real GDP growth in the first quarter came in at 7.8 per cent year-on-year, supported by resilient investment and robust services activity.
- Overall, we lower our current account deficit forecast for CY26 further by 0.2pp to 1.1 per cent of GDP," Goldman Sachs said, adding that it now expects a balance of payments surplus of 0.7 per cent of GDP for the year.

## 16. Reforms to Expand Foreign Participation in G-Secs

- The Government is undertaking sustained reforms to strengthen India's standing as a leading destination for global investment. To deepen the capital market, it has introduced a series of reforms to increase Foreign Portfolio Investor (FPI) participation in Government Securities (GSecs).
- Key measures include tax exemptions on interest income, long-term capital gains (LTCG) and short-term capital gains (STCG), expansion of specified securities under the Fully Accessible Route (FAR), and streamlined investment norms.
- These reforms aim to attract stable long-term foreign capital, deepen the G-Sec market, and strengthen India's debt market by broadening and diversifying the investor base. Greater foreign participation will provide an additional source of funding for infrastructure, manufacturing, urban development, climate initiatives, and other national priorities. It will also improve market liquidity and price discovery, support the development of a smoother yield curve, reduce government borrowing costs, strengthen financial market benchmarks, and enhance the transmission of monetary policy across the economy. Decoding FIIs, FPIs, G-Secs, BIS Foreign Institutional Investment (FII)is a category of FPI that refers specifically to investments made by foreign institutional investors such as mutual funds, pension funds, insurance companies, and hedge funds. These institutions invest pooled funds in financial markets and typically play a more active role in investment research and decision-making. Foreign Portfolio Investment (FPI)refers to investments made by foreign individuals, institutional investors, or funds in financial instruments such as stocks, bonds, mutual funds, and government securities. FPIs do not participate in the management or decision-making of the companies in which they invest and are generally considered passive investors. Government Securities (G-Secs), are tradeable debt instruments issued by the central/ state governments to fund public projects, manage fiscal deficits, control market liquidity. The Bank for International Settlements (BIS)is an international financial institution owned by central banks. It serves as a forum for monetary and financial cooperation among central banks globally. It also acts as a banker and asset manager for central banks and international organizations. What Changes in Taxation- Prior to the latest reform, Foreign Institutional Investors (FIIs), including SEBI-registered Foreign Portfolio Investors (FPIs), were taxed under Section 210 of the Income-tax Act, 2025. Any income earned from investments in Government Securities (G-Secs) was subject to tax. Specifically:
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- Interest income earned on G-Secs was taxed at 20% for FIIs/FPIs. Short-term capital gains arising from the sale of G-Secs were taxed at 30%, depending on the nature of the transaction. Long-term capital gains were

taxed at 12.5%. As a result, a portion of the returns earned by foreign investors from holding or trading G-Secs was payable as tax in India. New Tax Regime- Recognising the importance of a competitive tax framework in attracting global capital, the Government has introduced a tax exemption for FPIs/FIIs investing in G-Secs. Under the new regime, FPIs/FIIs will be exempt from:

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- Interest income earned from G-Secs; and Capital gains arising from the sale, transfer, exchange or redemption of G-Secs. The exemption will apply to income arising on or after 1 April 2026. The Income-tax (Amendment) Ordinance, 2026 inserted specific provisions granting this exemption to FIIs investing in G-Secs. Classification of Capital Gains Long-Term Capital Gains (LTCG)arise when a Government Security is held beyond the prescribed holding period.
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- Listed G-Secs: More than 12 months. Unlisted G-Secs: More than 24 months. Short-Term Capital Gains (STCG)arise when a Government Security is held for less than the prescribed holding period.
- Listed G-Secs: Up to 12 months.
- Unlisted G-Secs: Up to 24 months. G-Sec Market Reforms
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- Foreign investors can invest in Indian G-Secs through routes such as the General Route and the Fully Accessible Route (FAR). General Route is the standard channel for foreign investors. It allows them to buy and sell permitted Indian G-secs, but comes with certain restrictions, such as caps on how much can be invested in a particular security, how long it must be held, and an overall investment limit. FAR is an open-access channel where foreign investors can invest in select G-Secs without restrictions that apply under the General Route. As on 12 May 2026, FPIs held G-Secs worth '3,75,171 crore, accounting for 3.34% of the total outstanding G-Secs stock of '112.42 lakh crore. Notably, FAR accounted for the majority of these investments, with FPI holdings of'3.21 lakh crore, representing 6.74%of the Rs. 47.63 lakh crore outstanding stock eligible under FAR. Expansion of the Fully Accessible Route (FAR) Government has now expanded the list of securities eligible under the FAR, broadening investment opportunities for foreign investors across a wider range of G-Secs. The FAR framework will now include:
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- New issuances of 15-year Government Securities; New issuances of 30-year Government Securities; New issuances of 40-year Government Securities; and Sovereign Green Bonds (SGrBs) issued in FAR-eligible tenors. The expansion is expected to broaden investment opportunities across the maturity spectrum and encourage greater participation in long-duration sovereign debt instruments. Relaxation of Investment Restrictions under the General Route To facilitate greater FPI participation in G-Secs, the Government has removed:
- Short-term investment limit;
- Concentration limit; and
- Security-wise investment limit. However, the overall investment limits remain unchanged at:
- 6% of the outstanding stock of Central Government Securities; and
- 2% of the outstanding stock of State Government Securities (SGSs). Further, the existing 'General' and 'Long-Term' categories for FPI investments will be merged into a single investment limit for Government Securities and State Government Securities respectively.

## 17. ADB approves USD 42.2 mln loan to boost bamboo industry in northeast region

- The Asian Development Bank has approved a USD 42.2 million small-expenditure financing facility to develop the bamboo industry in India's northeastern states, boosting agricultural productivity, strengthening rural livelihoods, and reducing dependence on imports.

- The facility will support community-based projects that enhance the growth, usage, and management of bamboo resources across Assam, Manipur, Meghalaya, Mizoram, Nagaland, and Tripura through multiple subloans financing a range of activities, including those ensuring the participation and employment of women across the value chain, the Asian Development Bank (ADB).
- It will also establish at least one women-led manufacturing facility in each state.
- Despite holding 39 per cent of the world's forest bamboo, India's bamboo value chain remains underdeveloped and reliant on imports.
- Aligned with the National Bamboo Mission, the small expenditure financing facility (SEFF) will strengthen bamboo cultivation, production, and marketing to increase incomes of producers and expand access to finance for private investors and entrepreneurs.

## 18. World Bank approves $1.5 billion financing to support India's reform programmes

- The World Bank's Board of Executive Directors approved $1.5 billion financing to India to support their structural reforms aimed to boost private sector-led job creation and economic growth, it said in a statement.
- It added that the financing, being provided under the Development Policy Financing (DPF) Operation, can create job opportunities for 11 million youth who would be entering the labour market every year over the next two decades.
- It added the current financing is also aligned with the Country Partnership Framework (CPF) it has with with India for a five-year period until 2031.
- The World Bank's Development Policy Financing (DPF) seeks to rapidly disburse financing to help a borrower country address existing or anticipated development financing requirements.

# Part II — Practice MCQs: Banking & Finance (110 Questions)

**Q1.** Which of the following fintech companies became the first Indian payment aggregator to secure a Payment Service Provider (PSP) licence from the International Financial Services Centres Authority (IFSCA) at GIFT City in June 2026?

**(a)** Paytm
**(b)** Razorpay
**(c)** Cashfree
**(d)** PhonePe
**(e)** Decentro
**Answer: (e) Decentro**

**Q2.** Which of the following categories of licence was granted to Decentro by the International Financial Services Centres Authority (IFSCA) at GIFT City, enabling it to expand its operations in cross-border payments infrastructure in June 2026?

**(a)** Payment Aggregator Licence
**(b)** Payment Gateway Licence
**(c)** Payment Service Provider (PSP) Licence
**(d)** Digital Banking (DBL) Licence
**(e)** Money Transfer Operator Licence
**Answer: (c) Payment Service Provider (PSP) Licence**

**Q3.** According to National Payments Corporation of India (NPCI) data, Unified Payments Interface (UPI) transactions scaled a fresh all-time high in May 2026. What was the total transaction value recorded during that month?

**(a)** Rs. 22.35 trillion
**(b)** Rs. 23.20 trillion
**(c)** Rs. 29.03 trillion
**(d)** Rs. 29.90 trillion
**(e)** Rs. 31.25 trillion
**Answer: (d) Rs. 29.90 trillion**

**Q4.** Evaluate the following statements about UPIs performance reported for May 2026: Which of the above statements is/are correct? I. UPI recorded its highest-ever monthly value and volume in May 2026. II. Monthly transaction volume rose to 23.20 billion in May 2026 from 22.35 billion in April 2026. III. UPI became operational in April 2016.

**(a)** I only
**(b)** II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q5.** According to National Payments Corporation of India (NPCI) data, Unified Payments Interface (UPI) transactions scaled a fresh all-time high in May 2026. By what percentage did the transaction value increase compared to the previous month?

**(a)** 2%
**(b)** 3%
**(c)** 4%
**(d)** 5%

**(e)** 6%

**Answer: (b) 3%**

**Q6.** According to RBI data, deposits of 5 crore and above accounted for what percentage of total term deposits in India's banking system as of end-March 2026, highlighting the growing reliance on largeticket fixed deposits in June 2026?

**(a)** 34.8 %
**(b)** 28.7 %
**(c)** 38.0 %
**(d)** 46.3 %
**(e)** 17.8 %

**Answer: (a) 34.8 %**

**Q7.** Which category of banks emerged as the largest contributor to deposit accretion in FY26, accounting for 50.8 per cent of incremental deposits according to RBI data released in June 2026?

**(a)** Public Sector Banks
**(b)** Private Sector Banks
**(c)** Regional Rural Banks
**(d)** Small Finance Banks
**(e)** Payments Banks

**Answer: (a) Public Sector Banks**

**Q8.** According to the RBIs Annual Basic Statistical Returns data for FY26, large-ticket term deposits continued to increase their share in Indias banking system. Which of the following statements is/are correct? I. Deposits of 1 crore and above accounted for 46.3% of all term deposits as of end-March 2026. II. Deposits of 5 crore and above accounted for 34.8% of term deposits as of end-March 2026. III. Public sector banks contributed the largest share of incremental deposits during FY26.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q9.** Which of the following countries recently enabled Unified Payments Interface (UPI) transactions for Indian visitors through a partnership between NPCI International Payments Limited (NIPL) and ACLEDA Bank Plc, allowing payments at more than 4 million merchant outlets in June 2026?

**(a)** Cambodia
**(b)** Vietnam
**(c)** Thailand
**(d)** Malaysia
**(e)** Indonesia

**Answer: (a) Cambodia**

**Q10.** Which of the following payment systems of Cambodia has been connected with India's Unified Payments Interface (UPI) to facilitate seamless digital transactions for Indian visitors in June 2026?

**(a)** PromptPay
**(b)** PayNow
**(c)** DuitNow
**(d)** NETS
**(e)** KHQR

**Answer: (e) KHQR**

**Q11.** As NIPL scales merchant acceptance across markets in 2026, UPI payments can be used in several destinations. Which of the following is NOT among the countries listed as having UPI merchant acceptance via NIPLs network?

**(a)** Maldives
**(b)** France
**(c)** Sri Lanka
**(d)** Qatar
**(e)** Singapore
**Answer: (a) Maldives**

**Q12.** Consider the following statements about the 2026 rollout of UPI acceptance in Cambodia and NIPLs global network; identify the correct ones: I. UPI transactions in Cambodia are routed via KHQR, which operates under the Bakong digital payment system. II. As of 2026, UPI merchant acceptance via NIPLs network is available in Bhutan, France, Mauritius, Nepal, Singapore, Sri Lanka, United Arab Emirates, Qatar, and Cambodia. III. In Cambodia, NIPLs collaboration partner is Wing Bank Plc.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q13.** BharatPe has launched 'BharatPe Flex', a Crediton-UPI solution powered by YES BANK, to provide users with greater flexibility in making UPI payments. Which of the following statements is/are correct? I. BharatPe Flex is a Credit-on-UPI solution powered by YES BANK. II. Users can avail up to 45 days of interest-free credit under BharatPe Flex. III. Nalin Negi is the CEO of BharatPe.

**(a)** I only
**(b)** II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q14.** Which of the following banks partnered with BharatPe to power 'BharatPe Flex', a Credit-on-UPI solution designed to provide users with greater flexibility in making digital payments in June 2026?

**(a)** HDFC Bank
**(b)** ICICI Bank
**(c)** Axis Bank
**(d)** YES BANK
**(e)** Kotak Mahindra Bank
**Answer: (d) YES BANK**

**Q15.** What is the name of the Credit-on-UPI solution launched by BharatPe to enable users to make everyday UPI payments with an integrated credit line and flexible repayment options in June 2026?

**(a)** BharatPe Flex
**(b)** BharatPe Credit
**(c)** UPI Credit Line
**(d)** FlexPay UPI
**(e)** SmartPay Flex

**Answer: (a) BharatPe Flex**

**Q16.** Which of the following position limits had been prescribed by the Reserve Bank of India for banks to maintain their net overnight open position in rupee (NOP-INR) in the onshore deliverable market at the end of each business day, following directions issued in March 2026?

**(a)** $50 million
**(b)** $75 million
**(c)** $100 million
**(d)** $125 million
**(e)** $150 million
**Answer: (c) $100 million**

**Q17.** The Reserve Bank of India (RBI) has allowed banks to exclude positions arising from certain foreign-currency swap facilities from the calculation of their Net Overnight Open Position in Rupee (NOPINR) limits. Which of the following statements is/are correct? I. RBI prescribed a $100 million NOP-INR limit for banks. II. The NOP-INR compliance deadline was April 10. III. RBI first prescribed an NOP-INR limit in 2021.

**(a)** I only
**(b)** II only
**(c)** II and III only
**(d)** I and II only
**(e)** I, II, and III
**Answer: (d) I and II only**

**Q18.** Which of the following estimates was projected for foreign capital inflows into government securities and banking channels as a result of policy measures announced by the Reserve Bank of India and the government in June 2026?

**(a)** $10-20 billion
**(b)** $20-30 billion
**(c)** $30-40 billion
**(d)** $40-50 billion
**(e)** $50-60 billion
**Answer: (d) $40-50 billion**

**Q19.** The RBI has announced multiple measures to attract foreign capital and strengthen external inflows into India. Which of the following statements is/are correct? I. Limits on FPI investment under the General Route have been removed. II. The concessional forex swap facility for PSU ECBs is available till September 30, 2026. III. FAR now includes all new 10-year G-Sec issuances.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q20.** Which of the following institutions announced a series of measures aimed at attracting foreign capital, including changes relating to government securities, FCNR(B) deposits, ECBs, and export proceeds, in June 2026?

**(a)** Securities and Exchange Board of India
**(b)** Reserve Bank of India
**(c)** National Bank for Agriculture and Rural Development
**(d)** Insurance Regulatory and Development Authority of India
**(e)** Pension Fund Regulatory and Development Authority

**Answer: (b) Reserve Bank of India**

**Q21.** Which of the following was the primary objective of the host of measures announced by the Reserve Bank of India, including the expansion of specified securities under the Fully Accessible Route and concessional forex swap facilities, in June 2026?

**(a)** Promote digital banking adoption
**(b)** Enhance agricultural credit flow
**(c)** Attract foreign capital
**(d)** Reduce household borrowing costs
**(e)** Strengthen priority sector lending

**Answer: (c) Attract foreign capital**

**Q22.** Which of the following policy repo rates was decided by the Monetary Policy Committee after unanimously voting to keep the rate unchanged under the liquidity adjustment facility, in June 2026?

**(a)** 4.75%
**(b)** 5.00%
**(c)** 5.25%
**(d)** 5.50%
**(e)** 5.75%

**Answer: (c) 5.25%**

**Q23.** Which of the following rates set by the Reserve Bank of India under the liquidity adjustment facility remained unchanged alongside the policy repo rate decision taken by the Monetary Policy Committee in June 2026?

**(a)** Standing Deposit Facility (SDF) rate
**(b)** Policy Repo Rate
**(c)** Marginal Standing Facility (MSF) rate
**(d)** Bank Rate
**(e)** All of the above

**Answer: (e) All of the above**

**Q24.** The RBI's Monetary Policy Committee (MPC) kept key policy rates unchanged in its June 2026 meeting while revising growth and inflation projections. Which of the following statements is/are correct? I. The MPC unanimously retained the repo rate at 5.25%. II. RBI revised FY27 CPI inflation projection upward to 5.1%. III. The Standing Deposit Facility (SDF) rate was increased to 5.25%.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III

**Answer: (b) I and II only**

**Q25.** Which of the following organisations has been recognised by the Reserve Bank of India as the selfregulatory organisation (SRO) for the Account Aggregator (AA) ecosystem in June 2026?

**(a)** Financial Stability and Development Council
**(b)** Sahamati Foundation
**(c)** National Payments Corporation of India
**(d)** Indian Banks Association
**(e)** Financial Sector Development Committee

**Answer: (b) Sahamati Foundation**

**Q26.** Which of the following institutions has recognised Sahamati Foundation as the SelfRegulatory Organisation (SRO) for the Account Aggregator ecosystem in June 2026?

**(a)** SEBI
**(b)** RBI
**(c)** IBA
**(d)** NABARD
**(e)** NPCI
**Answer: (b) RBI**

**Q27.** Which of the following registries was involved in the compliance lapses for which the Reserve Bank of India imposed a penalty on Canara Bank in June 2026?

**(a)** Credit Registry Portal
**(b)** Bank Fraud Registry
**(c)** Central KYC Records Registry
**(d)** Payment Records System
**(e)** Deposit Insurance Registry
**Answer: (c) Central KYC Records Registry**

**Q28.** Which of the following banks was penalised by the Reserve Bank of India for violations related to Know Your Customer norms and the handling of certain inactive accounts in June 2026?

**(a)** Punjab National Bank
**(b)** Bank of Baroda
**(c)** Canara Bank
**(d)** Union Bank India
**(e)** Indian Bank
**Answer: (c) Canara Bank**

**Q29.** Identify the state that accounted for the largest share of NBFCs whose certificates of registration were cancelled by the Reserve Bank of India, as most of the 135 affected entities had their registered offices located there in June 2026.

**(a)** Karnataka
**(b)** Maharashtra
**(c)** Uttar Pradesh
**(d)** Tamil Nadu
**(e)** West Bengal
**Answer: (e) West Bengal**

**Q30.** Apart from cancelling the registration certificates of 135 NBFCs, how many non-banking finance companies surrendered their certificates to the Reserve Bank of India due to business exit, amalgamation, merger, dissolution, or voluntary strike-off in June 2026?

**(a)** 8
**(b)** 10
**(c)** 13
**(d)** 15
**(e)** 18
**Answer: (c) 13**

**Q31.** How many non-banking finance companies (NBFCs) had their certificates of registration cancelled by the Reserve Bank of India as part of its regulatory actions concerning compliance and business status in June 2026?

**(a)** 115

**(b)** 125
**(c)** 135
**(d)** 145
**(e)** 155
**Answer: (c) 135**

**Q32.** The Reserve Bank of India has consolidated governance norms relating to risk management, compliance and internal audit functions for commercial banks. From which date will these revised directions come into effect?

**(a)** 19 July 2026
**(b)** 1 October 2026
**(c)** 1 January 2027
**(d)** 1 April 2027
**(e)** 1 July 2027
**Answer: (c) 1 January 2027**

**Q33.** The RBI has issued revised directions on governance of risk management, compliance and internal audit functions for commercial banks. Which of the following statements is/are correct? I. The revised directions will come into effect from January 1, 2027. II. CRO, CCO and HIA shall ordinarily be appointed for a minimum tenure of three years. III. CROs will have voting rights in credit sanction and approval committees.

**(a)** I only
**(b)** II only
**(c)** II and III only
**(d)** I and II only
**(e)** I, II, and III
**Answer: (d) I and II only**

**Q34.** Under the RBI's consolidated governance directions for risk management, compliance and internal audit functions, the Chief Risk Officer (CRO), Chief Compliance Officer (CCO) and Head of Internal Audit (HIA) will ordinarily be appointed for a fixed tenure of at least how many years in June 2026?

**(a)** Two years
**(b)** Three years
**(c)** Four years
**(d)** Five years
**(e)** Six years
**Answer: (b) Three years**

**Q35.** Which of the following companies received final approval from the Securities and Exchange Board of India (Sebi) to commence mutual fund operations through its asset management arm in June 2026?

**(a)** 360 ONE WAM Ltd
**(b)** Motilal Oswal Financial Services Ltd
**(c)** Nuvama Wealth Management Ltd
**(d)** JM Financial Ltd
**(e)** Anand Rathi Wealth Ltd
**Answer: (c) Nuvama Wealth Management Ltd**

**Q36.** Nuvama Wealth Management Ltd has received regulatory approval to enter the mutual fund business through its asset management arm. Which of the following statements is/are correct? I. Nuvama has received final approval from SEBI to commence mutual fund operations. II. Nuvama Asset Management plans to initially launch products under the Specialised Investment Fund (SIF) framework. III. India's mutual fund industry has crossed 80 lakh crore in assets under management.

**(a)** I only

**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q37.** Identify the investment framework under which Nuvama Asset Management plans to launch its first set of products after receiving Sebi's approval to commence mutual fund operations in June 2026.

**(a)** Alternative Investment Fund (AIF) framework
**(b)** Portfolio Management Services (PMS) framework
**(c)** Specialised Investment Fund (SIF) framework
**(d)** Real Estate Investment Trust (REIT) framework
**(e)** Infrastructure Investment Trust (InvIT) framework
**Answer: (c) Specialised Investment Fund (SIF) framework**

**Q38.** Which housing finance company was penalised by the Reserve Bank of India in June 2026 for noncompliance with certain directions relating to the 'Fair Practice Code'?

**(a)** LIC Housing Finance Ltd.
**(b)** PNB Housing Finance Ltd.
**(c)** Aavas Financiers Ltd.
**(d)** Repco Home Finance Limited
**(e)** Can Fin Homes Ltd.
**Answer: (d) Repco Home Finance Limited**

**Q39.** Which NBFC was penalised by the Reserve Bank of India in June 2026 for violations related to both the 'Know Your Customer (KYC) Directions' and the 'Fraud Risk Management in NBFCs Directions'?

**(a)** Muthoot Finance Limited
**(b)** Bajaj Finance Limited
**(c)** True Credits Private Limited
**(d)** IIFL Samasta Finance Limited
**(e)** Shriram Finance Limited
**Answer: (d) IIFL Samasta Finance Limited**

**Q40.** Which of the following companies emerged as the lead strategic investor in Sarvam AI by acquiring a 10.46 per cent stake in the Bengalurubased startup following its Series B funding round in June 2026?

**(a)** Infosys
**(b)** Tata Consultancy Services
**(c)** Tech Mahindra
**(d)** Wipro
**(e)** HCLTech
**Answer: (e) HCLTech**

**Q41.** The Reserve Bank of India (RBI) has issued the Responsible Business Conduct (Second Amendment) Directions, 2026, to strengthen customer protection and curb mis-selling of financial products. Which of the following statements is/are correct? I. The new norms will come into effect from January 1, 2027. II. In cases of mis-selling, banks must refund the entire amount paid by the customer for the financial product or service. III. Banks and their agents have been prohibited from using "dark patterns" on digital platforms.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only

**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q42.** Identify the practice defined by the Reserve Bank of India as designing interfaces to mislead or trick users into actions they did not originally intend or want to perform, under the Responsible Business Conduct (Second Amendment) Directions, 2026, in June 2026.

**(a)** Shadow pricing

**(b)** Dynamic profiling

**(c)** Dark patterns

**(d)** Selective disclosure

**(e)** Silent authentication

**Answer: (c) Dark patterns**

**Q43.** Which of the following accounts did the Reserve Bank of India permit authorised dealer banks to open for overseas individual investors to facilitate investments in listed Indian companies under the revised foreign exchange framework in June 2026?

**(a)** Non-Repatriable Rupee Accounts

**(b)** Foreign Currency Deposit Accounts

**(c)** Repatriable Rupee Accounts

**(d)** Escrow Accounts

**(e)** Special Vostro Accounts

**Answer: (c) Repatriable Rupee Accounts**

**Q44.** Which of the following new reporting category did the Reserve Bank of India introduce for transactions involving purchases and transfers of equity instruments by overseas individuals, including NRIs and OCIs, under the revised framework in June 2026?

**(a)** Non-Resident Equity Investor

**(b)** Individual Foreign Investor

**(c)** Overseas Portfolio Holder

**(d)** Foreign Equity Participant

**(e)** Global Rupee Investor

**Answer: (b) Individual Foreign Investor**

**Q45.** The Reserve Bank of India (RBI) has allowed authorised dealer banks to open repatriable rupee accounts for overseas individuals investing in listed Indian companies. Which of the following statements is/are correct? I. The new norms came into effect immediately from June 13, 2026. II. RBI has introduced a new reporting category called Foreign Portfolio Investor (FPI) for such investments. III. Overseas investors can use designated repatriable rupee accounts for investments in listed Indian companies.

**(a)** I only

**(b)** I and II only

**(c)** II and III only

**(d)** I and III only

**(e)** I, II, and III

**Answer: (d) I and III only**

**Q46.** Which of the following initial price bands did the Securities and Exchange Board of India prescribe under its revised framework for exchange-traded funds (ETFs), with provision for expansion after a cooling-off period, in June 2026?

**(a)** 5%

**(b)** 7.5%

**(c)** 10%

**(d)** 15%

**(e)** 20%

**Answer: (c) 10%**

**Q47.** SEBI has introduced a new framework for Exchange-Traded Funds (ETFs) to improve price discovery and market efficiency. Which of the following statements is/are correct? I. The initial price band for ETFs will be set at 10%. II. SEBI has directed stock exchanges and mutual funds to use the previous day's closing NAV as the base price from 1 April 2027. III. The ETF price band can be expanded up to 20% after a 15-minute cooling-off period.

**(a)** I only

**(b)** I and II only

**(c)** II and III only

**(d)** I and III only

**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q48.** Which of the following market instruments was the subject of a revised trading framework issued by the Securities and Exchange Board of India, introducing dynamic price bands and changes to base price determination in June 2026?

**(a)** Real Estate Investment Trusts (REITs)

**(b)** Infrastructure Investment Trusts (InvITs)

**(c)** Exchange-Traded Funds (ETFs)

**(d)** Municipal Bonds

**(e)** Commercial Paper

**Answer: (c) Exchange-Traded Funds (ETFs)**

**Q49.** Which of the following emergency lending programmes was granted relaxed capital treatment by the Reserve Bank of India, allowing lenders to assign a zero-risk weight to a significant portion of guaranteed loans in June 2026?

**(a)** Production Linked Incentive Scheme (PLI)

**(b)** Stand-Up India Scheme

**(c)** Emergency Credit Line Guarantee Scheme (ECLGS) 3.0

**(d)** Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)

**(e)** Emergency Credit Line Guarantee Scheme (ECLGS) 5.0

**Answer: (e) Emergency Credit Line Guarantee Scheme (ECLGS) 5.0**

**Q50.** Identify the proportion of the guaranteed exposure under the Emergency Credit Line Guarantee Scheme (ECLGS) 5.0 that the Reserve Bank of India permitted lenders to assign a zerorisk weight to under its revised capital norms in June 2026.

**(a)** 50%

**(b)** 65%

**(c)** 75%

**(d)** 85%

**(e)** 100%

**Answer: (c) 75%**

**Q51.** Which of the following initiatives was launched by the Reserve Bank of India, Thiruvananthapuram, as a state-wide awareness campaign aimed at combating cyber-enabled financial frauds among college students in 2026?

**(a)** Digital Suraksha Abhiyan 2026

**(b)** Cyber Shield Initiative 2026

**(c)** Safe Banking Mission 2026

**(d)** RBI Reelathon 2026

**(e)** FinSecure Campus Drive 2026

**Answer: (d) RBI Reelathon 2026**

**Q52.** Which Reserve Bank of India regional office launched the RBI Reelathon 2026 campaign targeting college students to raise awareness about cyber-enabled financial frauds in June 2026?

**(a)** RBI Mumbai

**(b)** RBI Hyderabad

**(c)** RBI Thiruvananthapuram

**(d)** RBI Chandigarh

**(e)** RBI Guwahati

**Answer: (c) RBI Thiruvananthapuram**

**Q53.** The Reserve Bank of India (RBI), Thiruvananthapuram, has launched RBI Reelathon 2026 to create awareness among college students about cyber-enabled financial frauds. Which of the following statements is/are correct? I. RBI Reelathon 2026 is a state-wide awareness campaign aimed at college students. II. The first phase includes awareness programmes on smart borrowing and safe digital banking in around 150 colleges. III. The reel-making competition will focus on themes such as mule accounts, cyber hygiene and digital financial frauds.

**(a)** I only

**(b)** I and II only

**(c)** II and III only

**(d)** I and III only

**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q54.** Which of the following was identified as an emerging cyber threat highlighted during the launch of RBI Reelathon 2026, the awareness campaign targeting college students, in June 2026?

**(a)** Fraudulent investment schemes

**(b)** Digital arrest scams

**(c)** Fake job offers

**(d)** Mule account networks

**(e)** All of the Above

**Answer: (e) All of the Above**

**Q55.** What does the acronym OFCB, referred to in the Reserve Bank of India's concessional swap facility aimed at lowering banks' funding costs, stand for in June 2026?

**(a)** Offshore Foreign Currency Bonds

**(b)** Overseas Foreign Currency Borrowings

**(c)** Open Foreign Capital Base

**(d)** Overseas Financial Credit Basket

**(e)** Offshore Funding and Currency Buffer

**Answer: (b) Overseas Foreign Currency Borrowings**

**Q56.** Which type of facility was introduced by the Reserve Bank of India for Overseas Foreign Currency Borrowings (OFCBs) to help banks access cheaper funding amid slower deposit growth in June 2026?

**(a)** Liquidity Adjustment Facility

**(b)** Standing Deposit Facility

**(c)** Marginal Standing Facility

**(d)** Market Stabilisation Scheme

**(e)** Concessional Swap Facility

**Answer: (e) Concessional Swap Facility**

**Q57.** The Reserve Bank of India (RBI) has introduced a concessional swap facility for Overseas Foreign Currency Borrowings (OFCBs) to support bank funding. Which of the following statements is/are correct? I. The OFCB swap facility is available to all Authorised Dealer Category-I banks. II. OFCBs eligible under the facility must have a minimum maturity of three years. III. The swap facility will be available until December 31, 2026.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q58.** Under the RBI's concessional swap facility for Overseas Foreign Currency Borrowings (OFCBs), announced in June 2026, eligible borrowings are required to have a minimum maturity period of _____.

**(a)** 5 years
**(b)** 2 years
**(c)** 3 years
**(d)** 7 years
**(e)** 1 years
**Answer: (c) 3 years**

**Q59.** According to the new policy introduced by PhonePe, a wallet will be classified as 'inactive' if no financial transaction has been made through the wallet for how many days?

**(a)** 90 days
**(b)** 180 days
**(c)** 270 days
**(d)** 365 days
**(e)** 730 days
**Answer: (d) 365 days**

**Q60.** PhonePe has introduced a 'wallet inactivity maintenance fee' for users who have not carried out any financial transaction through their PhonePe Wallet for 365 days. What amount will be charged as the quarterly maintenance fee for such inactive wallets?

**(a)** Rs. 50
**(b)** Rs. 75
**(c)** Rs. 100
**(d)** Rs. 149
**(e)** Rs. 200
**Answer: (c) Rs. 100**

**Q61.** Which of the following digital payments and financial services platforms announced the introduction of a 'wallet inactivity maintenance fee' of Rs. 100 per quarter for users whose wallets have remained inactive, with no wallet transactions, for the preceding 365 days?

**(a)** Paytm
**(b)** Google Pay
**(c)** Amazon Pay
**(d)** PhonePe
**(e)** Mobikwik
**Answer: (d) PhonePe**

**Q62.** Which of the following institutions has deferred the implementation of the revised Kisan Credit Card (KCC) directions to January 1, 2027, citing operational and technology-related challenges and incorporating stakeholder feedback in June 2026?

**(a)** NABARD
**(b)** Reserve Bank of India
**(c)** Ministry of Agriculture and Farmers Welfare
**(d)** State Bank of India
**(e)** Small Industries Development Bank of India
**Answer: (b) Reserve Bank of India**

**Q63.** Which of the following dates has been set as the revised effective date for implementation of the updated Kisan Credit Card (KCC) directions after the Reserve Bank of India deferred the earlier timeline due to operational and technology-related challenges?

**(a)** 1 July 2026
**(b)** 1 October 2026
**(c)** 1 January 2027
**(d)** 1 March 2027
**(e)** 1 June 2027
**Answer: (c) 1 January 2027**

**Q64.** The Reserve Bank of India (RBI) has deferred the implementation of the revised Kisan Credit Card (KCC) directions following stakeholder feedback. Which of the following statements is/are correct? I. The revised KCC directions will come into effect from January 1, 2027. II. RBI has allowed KCC credit limits to be rounded off to the nearest 1,000. III. KCC loans sanctioned before January 1, 2027, will continue under the existing guidelines until maturity or next renewal.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q65.** Which of the following fund houses launched the mutual fund industrys first lifecycle funds in India, offering target-date investment options maturing in 2036 and 2041 in June 2026?

**(a)** SBI Mutual Fund
**(b)** HDFC Mutual Fund
**(c)** ICICI Prudential Mutual Fund
**(d)** Nippon India Mutual Fund
**(e)** Zerodha Fund House
**Answer: (e) Zerodha Fund House**

**Q66.** Which of the following new mutual fund categories introduced by SEBI in February 2026 enables goal-based investing through a pre-defined asset allocation path that gradually reduces risk as the target date approaches?

**(a)** Liquid Funds
**(b)** Lifecycle Funds
**(c)** Index Funds
**(d)** Arbitrage Funds
**(e)** Balanced Advantage Funds
**Answer: (b) Lifecycle Funds**

**Q67.** Which of the following institutions was imposed a monetary penalty of Rs. 5 lakh by the Reserve Bank of India for non-compliance with directions related to loans and advances to directors, their relatives, and associated firms in June 2026?

**(a)** Sultanpur Jilla Sahkari Bank Ltd.
**(b)** Can Fin Homes Limited
**(c)** Hutatma Sahakari Bank Ltd.
**(d)** Five Star Business Finance Limited
**(e)** Pahal Financial Services Private Limited
**Answer: (c) Hutatma Sahakari Bank Ltd.**

**Q68.** Which of the following institutions was penalised by the Reserve Bank of India with a Rs. 6.20 lakh fine for non-compliance with KYC norms and Fair Practice Code directions in June 2026?

**(a)** Can Fin Homes Limited
**(b)** Five Star Business Finance Limited
**(c)** Hutatma Sahakari Bank Ltd.
**(d)** Sultanpur Jilla Sahkari Bank Ltd.
**(e)** The Shimoga District Co-operative Central Bank Ltd.
**Answer: (b) Five Star Business Finance Limited**

**Q69.** Which of the following institutions was imposed a monetary penalty of Rs. 1 lakh by the Reserve Bank of India for contravention of provisions of Section 20 read with Section 56 of the Banking Regulation Act, 1949 in June 2026?

**(a)** Can Fin Homes Limited
**(b)** Hutatma Sahakari Bank Ltd.
**(c)** The Shimoga District Co-operative Central Bank Ltd.
**(d)** Five Star Business Finance Limited
**(e)** Pahal Financial Services Private Limited
**Answer: (c) The Shimoga District Co-operative Central Bank Ltd.**

**Q70.** The Reserve Bank of India (RBI) recently clarified that pre-sanctioned credit lines offered through which payment system will be governed by the same prudential norms as the underlying credit facility, irrespective of the mode of delivery?

**(a)** National Electronic Funds Transfer (NEFT)
**(b)** Real Time Gross Settlement (RTGS)
**(c)** Immediate Payment Service (IMPS)
**(d)** Unified Payments Interface (UPI)
**(e)** National Automated Clearing House (NACH)
**Answer: (d) Unified Payments Interface (UPI)**

**Q71.** The Reserve Bank of India (RBI) has clarified the prudential treatment of credit facilities offered through payment systems such as UPI. Which of the following statements is/are correct? I. Pre- sanctioned credit lines can be offered through the Unified Payments Interface (UPI). II. Prudential treatment of a UPI-linked credit line depends on the nature of the underlying credit facility. III. Banks can introduce new categories of lending solely by routing them through UPI.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q72.** Which organisation recently clarified that presanctioned credit lines offered through Unified Payments Interface (UPI) will be subject to the same prudential norms as the underlying credit facility?

**(a)** Securities and Exchange Board of India (SEBI)
**(b)** Insurance Regulatory and Development Authority of India (IRDAI)
**(c)** Reserve Bank of India (RBI)
**(d)** National Payments Corporation of India (NPCI)
**(e)** Ministry of Finance
**Answer: (c) Reserve Bank of India (RBI)**

**Q73.** The Reserve Bank of India (RBI) has proposed that banks and other regulated entities adopt a board-approved framework to manage risks arising from traditional, AI-based, and machine learning models. What is this framework known as?

**(a)** Artificial Intelligence Governance Framework (AIGF)
**(b)** Model Risk Management Framework (MRMF)
**(c)** Financial Analytics Oversight Framework (FAOF)
**(d)** Digital Model Compliance Framework (DMCF)
**(e)** Enterprise Risk Control Framework (ERCF)
**Answer: (b) Model Risk Management Framework (MRMF)**

**Q74.** The Reserve Bank of India (RBI) has released draft guidelines on Regulatory Principles for Model Risk Management to govern the use of AI/ML and other models by regulated entities. Which of the following statements is/are correct? I. Regulated entities must adopt a board-approved Model Risk Management Framework (MRMF) covering AI/ML models. II. The draft framework applies only to models developed internally by regulated entities. III. The RBI has proposed mandatory human oversight for AI-driven decision-making.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (d) I and III only**

**Q75.** The RBI's draft Guidance on Regulatory Principles for Model Risk Management proposes mandatory human oversight to address risks such as automation bias, over-reliance on model outputs, and decision fatigue arising from the use of which technology?

**(a)** Cloud Computing
**(b)** Blockchain
**(c)** Artificial Intelligence (AI)
**(d)** Internet of Things (IoT)
**(e)** Quantum Computing
**Answer: (c) Artificial Intelligence (AI)**

**Q76.** According to the RBI's revised norms, NBFCs with an asset size of at least how much, based on their latest audited balance sheet, will be classified as Upper Layer entities under the Scale-Based Regulation (SBR) framework?

**(a)** Rs 1 Trillion
**(b)** Rs 75,000 Crore
**(c)** Rs 1.5 Trillion
**(d)** Rs 50,000 Crore
**(e)** Rs 2 Trillion
**Answer: (a) Rs 1 Trillion**

**Q77.** The Reserve Bank of India (RBI) has withdrawn concentration-risk exemptions previously available to which category of Non-Banking Financial Companies (NBFCs), bringing them under the same exposure framework as other entities in their regulatory layer?

**(a)** Housing Finance Companies (HFCs)
**(b)** Infrastructure Finance Companies (IFCs)
**(c)** Core Investment Companies (CICs)
**(d)** Microfinance Institutions (MFIs)
**(e)** Government-owned NBFCs
**Answer: (e) Government-owned NBFCs**

**Q78.** The Reserve Bank of India (RBI) has revised regulations for NBFCs, including concentration-risk norms and scale-based regulation. Which of the following statements is/are correct? I. NBFCs with an asset size of 1 trillion and above will be classified as Upper Layer entities. II. Government-owned NBFCs will continue to enjoy exemptions from concentration-risk norms. III. RBI has increased the exposure limit for a group of connected counterparties for Infrastructure Finance Companies (IFCs) to 45%.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (d) I and III only**

**Q79.** What is the name of the green-channel mechanism recently introduced by SEBI to enable faster rollout of Alternative Investment Fund (AIF) schemes through a disclosure-based approval process?

**(a)** PRAGATI
**(b)** SARATHI
**(c)** GARUDA
**(d)** SAMRIDDHI
**(e)** UDAN
**Answer: (c) GARUDA**

**Q80.** SEBI's newly approved GARUDA mechanism has significantly shortened the approval process for Regular Alternative Investment Fund (AIF) schemes. Under the revised framework, what is the maximum approval period for such schemes?

**(a)** 5 working days
**(b)** 7 working days
**(c)** 10 working days
**(d)** 15 working days
**(e)** 30 working days
**Answer: (c) 10 working days**

**Q81.** SEBI recently approved the GARUDA mechanism to fast-track the launch of Alternative Investment Funds (AIFs). What does GARUDA stand for?

**(a)** Green Approval Route for Unified Development of AIFs
**(b)** Green-Channel: AIF Rollout Upon Document Acknowledgement
**(c)** Government Authorised Route for Unified Digital Assets
**(d)** Green Access Route for Undertaking Direct Approvals
**(e)** General AIF Registration and Unified Disclosure Architecture
**Answer: (b) Green-Channel: AIF Rollout Upon Document Acknowledgement**

**Q82.** SEBI has approved GARUDA (Green-Channel: AIF Rollout Upon Document Acknowledgement) to simplify and speed up the launch of Alternative Investment Fund (AIF) schemes. Which of the following statements is/are correct? I. GARUDA stands for Green-Channel: AIF Rollout Upon Document Acknowledgement. II. Angel Funds and Accredited Investor-only schemes can launch after filing the PPM and receiving SEBI acknowledgement. III. Under GARUDA, Regular AIF schemes will have a 10-working-day approval timeline.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q83.** Which of the following Indian cross-border payments platforms became the first to secure an international payments licence in Canada, marking its first regulatory approval outside India, in June 2026?

**(a)** PayGlocal
**(b)** Razorpay
**(c)** Skydo
**(d)** Cashfree Payments
**(e)** Nium India
**Answer: (c) Skydo**

**Q84.** Indian fintech platform Skydo has secured an international payments licence in Canada, marking a significant milestone in its global expansion. Which of the following statements is/are correct? I. Skydo became the first Indian cross-border payments platform to receive an overseas licence. II. The licence enables two-way payment flows between India and Canada. III. IndiaCanada bilateral trade currently stands at around CAD 70 billion.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q85.** Which of the following financial instruments was included under the final directions issued by the Reserve Bank of India to strengthen the regulatory framework for credit derivatives, as announced in June 2026?

**(a)** Credit Default Swaps (CDS)
**(b)** Interest Rate Swaps (IRS)
**(c)** Currency Swaps (CS)
**(d)** Interest Rate Futures (IRF)
**(e)** Overnight Index Swaps (OIS)
**Answer: (a) Credit Default Swaps (CDS)**

**Q86.** Which of the following financial instruments was permitted for use by resident Indian non-retail users under the final directions issued to expand India's credit derivatives market?

**(a)** Interest Rate Swaps (IRS)
**(b)** Currency Swaps (CS)
**(c)** Forward Rate Agreements (FRA)
**(d)** Total Return Swaps (TRS)
**(e)** Interest Rate Futures (IRF)
**Answer: (d) Total Return Swaps (TRS)**

**Q87.** Which of the following platforms was included by the Reserve Bank of India (RBI) under its draft master directions to provide a consolidated framework for secondary market transactions in government securities in June 2026?

**(a)** Negotiated Dealing System-Order Matching (NDS-OM)
**(b)** Electronic Gold Receipt Platform (EGR)
**(c)** Trade Receivables Discounting System (TReDS)
**(d)** National Electronic Funds Transfer (NEFT)
**(e)** Structured Financial Messaging System (SFMS)
**Answer: (a) Negotiated Dealing System-Order Matching (NDS-OM)**

**Q88.** Which of the following timelines was prescribed by the Reserve Bank of India (RBI) for reporting government securities transactions undertaken outside the Negotiated Dealing System-Order Matching (NDS-OM) platform under its draft master directions in June 2026?

**(a)** Within 15 minutes of execution
**(b)** Within 30 minutes of execution
**(c)** Within 1 hour of execution
**(d)** By the end of the trading day
**(e)** Within 24 hours of execution
**Answer: (a) Within 15 minutes of execution**

**Q89.** The Reserve Bank of India (RBI) has released draft Master Directions to consolidate the regulatory framework for secondary market transactions in Government Securities (G-Secs). Which of the following statements is/are correct? I. The draft framework consolidates rules for outright, whenissued and short-sale transactions in Government Securities. II. Transactions executed outside the NDS-OM platform must be reported within 15 minutes of execution. III. Short-sale positions in Central Government Securities must be covered within six months from the date of the transaction.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q90.** Which of the following organizations jointly launched a secured credit card backed by a fixed deposit to help consumers build or improve their credit history while also offering cashback on everyday transactions?

**(a)** HDFC Bank and PhonePe
**(b)** ICICI Bank and Paytm
**(c)** Axis Bank and Razorpay
**(d)** SBM Bank India and Paisabazaar
**(e)** State Bank of India and Amazon Pay
**Answer: (d) SBM Bank India and Paisabazaar**

**Q91.** Paisabazaar and SBM Bank India have launched the SBM Paisabazaar Paisa Credit Card, a Fixed Deposit-backed secured credit card. Which of the following statements is/are correct? I. The minimum Fixed Deposit (FD) required to obtain the card is 2,000. II. The card offers up to 1.5% cashback on online spends. III. The card has a zero joining fee.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q92.** Which of the following AI-powered fintech platforms recently received approval from the National Payments Corporation of India (NPCI) to operate as a Third Party Application Provider (TPAP) for offering UPI services on its platform?

**(a)** Paytm
**(b)** PhonePe
**(c)** CRED
**(d)** Groww
**(e)** jUMPP
**Answer: (e) jUMPP**

**Q93.** Which of the following banks has partnered with the AI-powered fintech platform jUMPP to support its banking and Bharat Bill Payment System (BBPS) services after it received NPCI approval for UPI operations?

**(a)** HDFC Bank
**(b)** ICICI Bank
**(c)** YES Bank
**(d)** Axis Bank
**(e)** State Bank of India
**Answer: (c) YES Bank**

**Q94.** AI-powered fintech platform jUMPP has received approval from the National Payments Corporation of India (NPCI) to offer UPI services. Which of the following statements is/are correct? I. jUMPP has received NPCI approval as a Third Party Application Provider (TPAP). II. jUMPP has partnered with State Bank of India (SBI) for banking and BBPS services. III. jUMPP was founded by Nithin Kamath.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (a) I only**

**Q95.** Which of the following fintech firms recently received in-principle approval from the International Financial Services Centres Authority (IFSCA) to operate as a Payment Service Provider (PSP) at GIFT-IFSC, Gandhinagar, strengthening its crossborder payment capabilities for exporters?

**(a)** Paytm
**(b)** Groww
**(c)** LEXI
**(d)** PhonePe
**(e)** CRED
**Answer: (c) LEXI**

**Q96.** Which of the following financial services regulator granted in-principle approval to LEXI to operate as a Payment Service Provider (PSP) at GIFT-IFSC, Gandhinagar in June 2026?

**(a)** Reserve Bank of India (RBI)
**(b)** Securities and Exchange Board of India (SEBI)
**(c)** International Financial Services Centres Authority (IFSCA)
**(d)** Insurance Regulatory and Development Authority of India (IRDAI)
**(e)** Ministry of Finance
**Answer: (c) International Financial Services Centres Authority (IFSCA)**

**Q97.** Which of the following export targets has been set by the Government of India to be achieved by 2030, highlighting the need for stronger financial infrastructure and trade facilitation mechanisms?

**(a)** $1 trillion
**(b)** $1.5 trillion
**(c)** $2 trillion
**(d)** $2.5 trillion
**(e)** $3 trillion
**Answer: (c) $2 trillion**

**Q98.** Which of the following financial instruments has been explicitly expanded under the Reserve Bank of Indias (RBI) final directions issued in June 2026 to deepen Indias credit derivatives market and enhance risk management tools for market participants?

**(a)** Foreign exchange forward contracts
**(b)** Credit Default Swaps (CDS)
**(c)** Treasury bills
**(d)** Interest rate futures (IRF)
**(e)** Commodity derivatives
**Answer: (b) Credit Default Swaps (CDS)**

**Q99.** The Reserve Bank of India (RBI) has issued final directions to expand India's credit derivatives market. Which of the following statements is/are correct? I. RBI has allowed wider use of Credit Default Swaps (CDS) and Total Return Swaps (TRS). II. Foreign Portfolio Investors (FPIs) can trade credit index futures subject to RBI safeguards. III. Resident Indian non-retail users can use CDS only for hedging purposes.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q100.** Which of the following entities was made eligible by the Reserve Bank of India (RBI) to act as a protection seller under its revised credit derivatives framework, in June 2026?

**(a)** Insurance companies
**(b)** Primary Dealers only
**(c)** Regional Rural Banks only
**(d)** Payments Banks only
**(e)** Small Finance Banks only
**Answer: (a) Insurance companies**

**Q101.** According to the Reserve Bank of India's revised framework issued in June 2026, NonBanking Financial Companies (NBFCs) with assets of at least how much will automatically be classified under the Upper Layer category?

**(a)** Rs. 50,000 crore
**(b)** Rs. 75,000 crore
**(c)** Rs. 1 lakh crore
**(d)** Rs. 1.5 lakh crore
**(e)** Rs. 2 lakh crore
**Answer: (c) Rs. 1 lakh crore**

**Q102.** Which of the following categories of financial institutions will now also be considered for inclusion in the Upper Layer category under the Reserve Bank of India's revised NBFC framework in June 2026?

**(a)** Government-owned NBFCs
**(b)** Regional Rural Banks (RRBs)
**(c)** Primary Agricultural Credit Societies (PACS)
**(d)** Urban Cooperative Banks (UCBs)
**(e)** Small Finance Banks (SFBs)
**Answer: (a) Government-owned NBFCs**

**Q103.** According to the Reserve Bank of India's revised framework for Upper Layer NBFCs, the asset-size threshold for classification will now be reviewed at what interval in June 2026?

**(a)** Every 2 years
**(b)** Every 3 years
**(c)** Every 4 years
**(d)** Every 5 years
**(e)** Every 10 years
**Answer: (b) Every 3 years**

**Q104.** According to the Reserve Bank of India (RBI), which currency accounted for the largest share of India's external debt composition at the end of March 2026?

**(a)** Indian Rupee
**(b)** Euro
**(c)** Japanese Yen
**(d)** US Dollar
**(e)** Special Drawing Rights (SDR)
**Answer: (d) US Dollar**

**Q105.** According to the Reserve Bank of India (RBI), India's external debt increased to USD 762.8 billion at the end of March 2026. Which of the following statements is/are correct? I. India's external debt stood at USD 762.8 billion at the end of March 2026. II. The US dollar accounted for the largest share of India's external debt. III. India's external debt-to-GDP ratio declined to 19.8% in FY26.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q106.** According to the Reserve Bank of India (RBI), India's external debt-to-GDP ratio increased to what level at the end of March 2026?

**(a)** 18.8%
**(b)** 19.8%
**(c)** 20.8%
**(d)** 21.8%
**(e)** 22.8%
**Answer: (c) 20.8%**

**Q107.** According to the Reserve Bank of India (RBI), India's external debt increased during FY2025-26, reflecting the country's outstanding obligations to foreign lenders. What was the total external debt outstanding at the end of March 2026?

**(a)** $722.8 billion
**(b)** $742.8 billion
**(c)** $752.8 billion

**(d)** $762.8 billion
**(e)** $782.8 billion
**Answer: (d) $762.8 billion**

**Q108.** Under the Reserve Bank of India's Benchmark Issuance Strategy (BIS) for State Development Loans (SDLs), the inclusion of 10 additional jurisdictions has increased the total number of participating states and Union Territories to how many?

**(a)** 15
**(b)** 17
**(c)** 19
**(d)** 21
**(e)** 23
**Answer: (c) 19**

**Q109.** The Reserve Bank of India (RBI) recently expanded its Benchmark Issuance Strategy (BIS) for State Development Loans (SDLs) by including how many additional jurisdictions?

**(a)** 5
**(b)** 8
**(c)** 10
**(d)** 12
**(e)** 15
**Answer: (c) 10**

**Q110.** The Reserve Bank of India (RBI) has expanded its Benchmark Issuance Strategy (BIS) framework for State Development Loans (SDLs). Which of the following statements is/are correct? I. The BIS framework was introduced to improve transparency in the State Development Loans (SDLs) market. II. The framework was first introduced with 19 states in Q1 FY27. III. The BIS framework is meant for Central Government Securities (G-Secs).

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (a) I only**

## Quick Answer Key — Banking & Finance

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
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| 11-a | 12-b | 13-e | 14-d | 15-a | 16-c | 17-d | 18-d | 19-b | 20-b |
| 21-c | 22-c | 23-e | 24-b | 25-b | 26-b | 27-c | 28-c | 29-e | 30-c |
| 31-c | 32-c | 33-d | 34-b | 35-c | 36-e | 37-c | 38-d | 39-d | 40-e |
| 41-e | 42-c | 43-c | 44-b | 45-d | 46-c | 47-e | 48-c | 49-e | 50-c |
| 51-d | 52-c | 53-e | 54-e | 55-b | 56-e | 57-e | 58-c | 59-d | 60-c |
| 61-d | 62-b | 63-c | 64-e | 65-e | 66-b | 67-c | 68-b | 69-c | 70-d |
| 71-b | 72-c | 73-b | 74-d | 75-c | 76-a | 77-e | 78-d | 79-c | 80-c |
| 81-b | 82-e | 83-c | 84-b | 85-a | 86-d | 87-a | 88-a | 89-b | 90-d |
| 91-e | 92-e | 93-c | 94-a | 95-c | 96-c | 97-c | 98-b | 99-b | 100-a |
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# Part II — Practice MCQs: Economy (61 Questions)

**Q1.** Which of the following commodities was granted a temporary exemption from all customs duties by the Central Government to improve raw material availability for the textile and apparel sector and reduce input costs from 1st June to 31st October 2026?

**(a)** Jute
**(b)** Silk
**(c)** Wool
**(d)** Cotton
**(e)** Hemp
**Answer: (d) Cotton**

**Q2.** The Central Government has temporarily exempted all customs duties on the import of cotton to support the domestic textile industry. Which of the following statements is/are correct? I. The exemption is effective from 1 June 2026 to 31 October 2026. II. The measure aims to improve cotton availability for the textile sector. III. The exemption applies to cotton imports till 31 March 2027.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q3.** Which of the following fuels has subjected to the highest export levy under the revised rates notified by the Central Government for the fortnight beginning June 1, 2026?

**(a)** Petrol
**(b)** Diesel
**(c)** Aviation Turbine Fuel (ATF)
**(d)** Compressed Natural Gas (CNG)
**(e)** Liquefied Petroleum Gas (LPG)
**Answer: (b) Diesel**

**Q4.** For the fortnight beginning June 1, 2026, the government revised export levies. What Special Additional Excise Duty (SAED) was set on petrol exports in this review aimed at ensuring domestic availability amid global volatility?

**(a)** Rs 3 per litre
**(b)** Rs 1.5 per litre
**(c)** Rs 9.5 per litre
**(d)** Rs 13.5 per litre
**(e)** Rs 0 per litre
**Answer: (b) Rs 1.5 per litre**

**Q5.** Which of the following measures was introduced by the Central Government on March 27, 2026, to ensure domestic availability of petroleum products in the backdrop of the West Asia crisis and was subsequently revised for the fortnight beginning June 1, 2026?

**(a)** Import duty on crude oil (IDOC)
**(b)** Special Additional Excise Duty (SAED) on petroleum product exports
**(c)** Windfall tax on natural gas production
**(d)** Carbon cess on refinery operations
**(e)** GST on petroleum exports
**Answer: (b) Special Additional Excise Duty (SAED) on petroleum product exports**

**Q6.** What was the total value of Indias seafood exports, which reached a record high despite global market challenges in FY 202526 as reported by the Marine Products Export Development Authority (MPEDA) in June 2026?

**(a)** Rs. 68,450 Crore
**(b)** Rs. 70,120 Crore
**(c)** Rs. 73,890 Crore
**(d)** Rs. 76,500 Crore
**(e)** Rs. 80,210 Crore
**Answer: (c) Rs. 73,890 Crore**

**Q7.** With Indias seafood export basket diversifying in FY 2025-26, consider the following statements and identify the correct ones: I. China emerged as the largest destination for Indian seafood exports in terms of quantity, importing 4,90,369 MT worth USD 1,611.32 million. II. Exports of frozen squid in FY 202526 totalled 1,02,060 MT, earning USD 513.84 million. III. Dried seafood products ranked third among exported items by value in FY 2025-26, with earnings of Rs 5,079.09 crore.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q8.** Which of the following seafood export items emerged as the largest contributor to Indias total seafood export earnings in FY 202526, accounting for more than 66% of total US dollar export earnings as reported in June 2026?

**(a)** Frozen fish
**(b)** Frozen shrimp
**(c)** Dried seafood
**(d)** Frozen squid
**(e)** Live marine products
**Answer: (b) Frozen shrimp**

**Q9.** The Union Cabinet approved a one-time budgetary support of up to what amount for Aviation Turbine Fuel (ATF) price stabilization support to Scheduled Indian Airlines in June 2026?

**(a)** Rs. 5,700 crore
**(b)** Rs. 7,500 crore
**(c)** Rs. 10,000 crore
**(d)** Rs. 12,000 crore
**(e)** Rs. 15,000 crore
**Answer: (c) Rs. 10,000 crore**

**Q10.** The Aviation Turbine Fuel (ATF) price stabilization support mechanism approved by the Union Cabinet will remain operational for what duration from its implementation in June 2026?

**(a)** 36 months
**(b)** 24 months
**(c)** 48 months
**(d)** 60 months
**(e)** 18 months
**Answer: (a) 36 months**

**Q11.** The Union Cabinet has approved a one-time budgetary support for Oil Marketing Companies (OMCs) to provide Aviation Turbine Fuel (ATF) price stabilization support to Scheduled Indian Airlines. Which of the

following statements is/are correct? I. The Cabinet approved 10,000 crore as ATF price stabilization support. II. The support mechanism will remain operational for 36 months. III. The Monitoring Committee will include representatives from the Ministry of Civil Aviation, Ministry of Petroleum and Natural Gas, and Department of Expenditure.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q12.** Which of the following project implementation modes has been approved by the Cabinet Committee on Economic Affairs for the upgradation of the 143.529-km Khagaria-Purnea section of NH31 and NH-231 in Bihar at a cost of 3,936.05 crore, in June 2026?

**(a)** EPC Mode
**(b)** Hybrid Annuity Mode (HAM)
**(c)** BOT (Annuity) Mode
**(d)** BOT (Toll) Mode
**(e)** Public-Private Partnership (PPP) Viability Gap Funding Mode
**Answer: (d) BOT (Toll) Mode**

**Q13.** The Cabinet Committee on Economic Affairs (CCEA) has approved the upgradation of the KhagariaPurnea section of NH-31 and NH-231 in Bihar to a 4-lane standard. Which of the following statements is/are correct? I. The project will be developed on BOT (Toll) mode at a cost of 3,936.05 crore. II. The project includes a 6.729 km Greenfield Purnea Bypass. III. The upgraded corridor will connect Purnea Airport and major railway stations including Khagaria, Bhagalpur, Katihar and Purnia.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** Rs. 5,000.00 crore
**Answer: (e) Rs. 5,000.00 crore**

**Q16.** Which of the following agencies has revised Indias FY27 GDP growth forecast to 6.4% and warned of economic slowdown due to the US-Iran war impact in June 2026?

**(a)** IMF
**(b)** Fitch Ratings
**(c)** World Bank
**(d)** Moodys
**(e)** OECD
**Answer: (b) Fitch Ratings**

**Q17.** Which of the following GDP growth estimates for India in FY27 has been projected by Fitch Ratings after revising its earlier forecast due to expected economic impact from the US-Iran war in June 2026?

**(a)** 5.9%
**(b)** 6.1%
**(c)** 6.3%
**(d)** 6.4%
**(e)** 6.7%
**Answer: (d) 6.4%**

**Q18.** Which of the following global growth forecasts for 2026 has been revised downward by Fitch Ratings due to the impact of the US-Iran war and resulting oil price pressures in June 2026?

**(a)** 2.0%
**(b)** 2.2%
**(c)** 2.4%
**(d)** 2.6%
**(e)** 2.8%
**Answer: (c) 2.4%**

**Q14.** In June 2026, the government emphasized that the upgraded Khagaria-Purnea corridor will strengthen multimodal integration by connecting to identified logistics and economic nodes. Which of the following is NOT among the nodes explicitly listed as connected by the project?

**(a)** Major Railway Stations
**(b)** An Airport
**(c)** State Highways
**(d)** Major Seaports
**(e)** National Highways
**Answer: (d) Major Seaports**

**Q19.** Which of the following investor categories was granted exemption on interest income and capital gains from Government Securities under the Income-tax (Amendment) Ordinance, 2026, applicable to income arising on or after 1 April 2026?

**(a)** Foreign Portfolio Investors and Foreign Institutional Investors
**(b)** Domestic Institutional Investors and Retail Investors
**(c)** Qualified Institutional Buyers and Anchor Investors
**(d)** High Net-Worth Individuals and Retail Investors
**(e)** Sovereign Wealth Funds and Pension Funds
**Answer: (a) Foreign Portfolio Investors and Foreign Institutional Investors**

**Q15.** What was the approved total capital cost for the upgradation of the 143.529-km Khagaria-Purnea section of NH-31 and NH-231 to a 4-lane standard in Bihar by the Cabinet Committee on Economic Affairs in June 2026?

**(a)** Rs. 3,936.05 crore
**(b)** Rs. 2,467.77 crore
**(c)** Rs. 4,250.50 crore
**(d)** Rs. 3,290.16 crore
**Answer: (a) Rs. 3,936.05 crore**

**Q20.** The Government has undertaken reforms to increase Foreign Portfolio Investor (FPI) participation in Government Securities (G-Secs) and deepen India's debt market. Which of the following statements is/are correct? I. FAR has been expanded to include new 15-year, 30-year and 40year G-Sec issuances. II. FPIs/FIIs are exempt from tax on interest income and capital gains from GSecs from 1 April 2026. III. Short-term investment, concentration and security-wise limits under the General Route have been removed.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q21.** Which of the following amounts represents the value of Government Securities held by Foreign Portfolio Investors as on 12 May 2026, amid reforms aimed at enhancing foreign participation in the G-Sec market?

**(a)** Rs 2,80,000 crore
**(b)** Rs 3,043,000 crore
**(c)** Rs 3,75,171 crore
**(d)** Rs 4,20,000 crore
**(e)** Rs 4,75,000 crore
**Answer: (c) Rs 3,75,171 crore**

**Q22.** To facilitate greater FPI participation under the General Route for Government Securities, the Government relaxed several investment restrictions in May 2026. Which of the following limits was not removed and continues to apply?

**(a)** Holding period limit
**(b)** Security-wise limit
**(c)** Concentration limit
**(d)** Overall investment limit
**(e)** Short-term limit
**Answer: (d) Overall investment limit**

**Q23.** To broaden investment opportunities across the maturity spectrum, the Government expanded the Fully Accessible Route for Government Securities in May 2026. Which of the following categories of instruments was newly included under the expanded framework?

**(a)** Treasury Bills
**(b)** Sovereign Green Bonds
**(c)** Inflation Bonds
**(d)** State Loans
**(e)** Cash Bills
**Answer: (b) Sovereign Green Bonds**

**Q24.** The Union Cabinet approved Phase 2(A) of the Ahmedabad Metro Rail Project, comprising a 6.032km corridor with five stations connecting Koteshwar Road to the Airport. What is the total project cost, including Interest During Construction (IDC), approved for this phase in June 2026?

**(a)** Rs. 1,969.04 crore
**(b)** Rs. 2,069.04 crore
**(c)** Rs. 2,169.04 crore
**(d)** Rs. 2,269.04 crore
**(e)** Rs. 2,369.04 crore
**Answer: (c) Rs. 2,169.04 crore**

**Q25.** The Union Cabinet has approved Phase 2(A) of the Ahmedabad Metro Rail Project to improve connectivity to key areas of the city. Which of the following statements is/are correct? I. Phase 2(A) consists of a 6.032 km corridor with five stations. II. The project includes four elevated stations and one underground station. III. The approved project cost is Rs. 2,169.04 crore.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q26.** The Cabinet Committee on Economic Affairs approved the construction of the first General Pool Residential Accommodation (GPRA) project in Andhra Pradesh at Amaravati. What is the estimated cost of the project to be funded through budgetary support from the Government of India in June 2026?

**(a)** Rs. 1,034.91 crore
**(b)** Rs. 1,134.91 crore
**(c)** Rs. 1,234.91 crore
**(d)** Rs. 1,334.91 crore
**(e)** Rs. 1,434.91 crore
**Answer: (c) Rs. 1,234.91 crore**

**Q27.** The Cabinet Committee on Economic Affairs has approved the construction of a General Pool Residential Accommodation (GPRA) campus in Amaravati, Andhra Pradesh. Which of the following statements is/are correct? I. This will be the first GPRA project in Andhra Pradesh. II. The project will comprise 1,504 dwelling units across 11 residential towers. III. The project will be executed by the National Buildings Construction Corporation (NBCC).

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (b) I and II only**

**Q28.** What does GPRA stand for in the Cabinetapproved residential project for Central Government employees at New Capital City, Amaravati, Andhra Pradesh, in June 2026?

**(a)** General Public Residential Allocation
**(b)** Government Pool Residential Area
**(c)** Government Planned Residential Access
**(d)** General Project Residential Authority
**(e)** General Pool Residential Accommodation
**Answer: (e) General Pool Residential Accommodation**

**Q29.** The Cabinet Committee on Economic Affairs approved the first General Pool Residential Accommodation (GPRA) project in the New Capital City of Amaravati. This marks the first such project in which state in June 2026?

**(a)** Telangana
**(b)** Tamil Nadu
**(c)** Karnataka
**(d)** Andhra Pradesh
**(e)** Odisha
**Answer: (d) Andhra Pradesh**

**Q30.** Which of the following petrol blends was among those specifically inserted by the Department of Revenue and granted nil central excise duty to promote higher ethanol blending in June 2026?

**(a)** E15
**(b)** E18
**(c)** E20
**(d)** E25
**(e)** E35
**Answer: (d) E25**

**Q31.** Which of the following institutions' specifications must be complied with by petrol containing 22% to 30% ethanol in order to qualify for nil central excise duty under the government's revised framework in June 2026?

**(a)** Food Safety and Standards Authority of India (FSSAI)
**(b)** Petroleum and Natural Gas Regulatory Board (PNGRB)
**(c)** Bureau of Indian Standards (BIS)

**(d)** Central Pollution Control Board (CPCB)

**(e)** Oil Industry Safety Directorate (OISD)

**Answer: (c) Bureau of Indian Standards (BIS)**

**Q32.** India achieved its ethanol blending milestone before considering higher blends. The country reached a target of _____% ethanol blending in petrol.

**(a)** 10%

**(b)** 15%

**(c)** 20%

**(d)** 25%

**(e)** 30%

**Answer: (c) 20%**

**Q33.** The Government has exempted higher ethanolblended petrol from central excise duty to promote cleaner fuels and support the ethanol blending programme. Which of the following statements is/are correct? I. Petrol blended with 22% to 30% ethanol has been exempted from central excise duty. II. The notification covers E22, E25, E27 and E30 petrol blends. III. India has already achieved its target of 20% ethanol blending in petrol.

**(a)** I only

**(b)** II only

**(c)** II and III only

**(d)** I and III only

**(e)** I, II, and III

**Answer: (e) I, II, and III**

**Q34.** To reduce project costs for operators and equipment suppliers in the nuclear energy ecosystem, the Government of India issued an order on June 11, 2026 providing retrospective customs-duty relief on imports for nuclear power generation. Which Union ministry issued this order?

**(a)** Ministry of Finance

**(b)** Ministry of Power

**(c)** Department of Atomic Energy

**(d)** Ministry of New and Renewable Energy

**(e)** NITI Aayog

**Answer: (a) Ministry of Finance**

**Q35.** The Government's decision to grant retrospective customs-duty relief on imports made between April 1, 2019 and January 31, 2026 was aimed at supporting the expansion of which type of power generation in India?

**(a)** Hydroelectric power

**(b)** Geothermal power

**(c)** Tidal power

**(d)** Nuclear power

**(e)** Biomass power

**Answer: (d) Nuclear power**

**Q36.** The Finance Ministry has waived customs duties on specified goods imported for nuclear power generation, providing retrospective tax relief to support India's clean-energy expansion plans. Which of the following statements is/are correct? I. The customs-duty waiver covers eligible imports made between April 1, 2019 and January 31, 2026. II. The customs-duty exemption for nuclear power project imports has been extended until 2040. III. India has set a target of achieving 100 GW of nuclear power capacity by 2047.

**(a)** I only

**(b)** I and II only

**(c)** II and III only

**(d)** I and III only
**(e)** I, II, and III
**Answer: (d) I and III only**

**Q37.** According to the World Banks latest Global Economic Prospects report, what is the projected GDP growth rate of India for FY27 (202627), when growth is expected to moderate due to higher energy prices and rising input costs?

**(a)** 6.2%
**(b)** 6.4%
**(c)** 6.6%
**(d)** 6.8%
**(e)** 7.0%
**Answer: (c) 6.6%**

**Q38.** According to the World Banks Global Economic Prospects report, Indias growth is projected to recover to what level in FY28 (202728) after easing in FY27?

**(a)** 6.4%
**(b)** 6.6%
**(c)** 6.8%
**(d)** 7.0%
**(e)** 7.2%
**Answer: (e) 7.2%**

**Q39.** According to the World Banks Container Port Performance Index (CPPI) 2025, which Indian port retained its position as the countrys bestperforming container port and improved its global ranking to 22nd position?

**(a)** Mundra Port
**(b)** Visakhapatnam Port
**(c)** Jawaharlal Nehru Port Authority (JNPA)
**(d)** Chennai Port (CP)
**(e)** Kandla Port
**Answer: (c) Jawaharlal Nehru Port Authority (JNPA)**

**Q40.** In the World Banks Container Port Performance Index (CPPI) 2025, what global rank was achieved by Indias best-performing container port, Jawaharlal Nehru Port Authority (JNPA)?

**(a)** 18th
**(b)** 20th
**(c)** 22nd
**(d)** 25th
**(e)** 28th
**Answer: (c) 22nd**

**Q41.** The World Banks Container Port Performance Index (CPPI) 2025 ranked Maharashtras Jawaharlal Nehru Port Authority (JNPA) as Indias bestperforming container port. Which of the following statements is/are correct? I. JNPA ranked 22nd globally in the CPPI 2025. II. Pipavav Port overtook Mundra Port to become India's best-performing private container port. III. Port of Fuzhou topped the global CPPI 2025 rankings.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q42.** Which of the following states recorded the highest Consumer Price Index (CPI)-based retail inflation among states and Union Territories with a population above 5 million, according to data released by the Ministry of Statistics and Programme Implementation, in May 2026?

**(a)** Tamil Nadu
**(b)** Puducherry
**(c)** Andhra Pradesh
**(d)** Telangana
**(e)** Karnataka
**Answer: (d) Telangana**

**Q43.** Which of the following was the Consumer Price Index (CPI)-based retail inflation rate recorded in India for May 2026, according to data released by the Ministry of Statistics and Programme Implementation, with the rise being driven mainly by higher food inflation?

**(a)** 3.93%
**(b)** 3.48%
**(c)** 4.78%
**(d)** 2.5%
**(e)** 6.15%
**Answer: (a) 3.93%**

**Q44.** Which of the following categories recorded an inflation rate of 4.78 per cent, contributing significantly to the rise in India's Consumer Price Index (CPI)-based retail inflation to 3.93 per cent, according to data released by the Ministry of Statistics and Programme Implementation in May 2026?

**(a)** Core inflation
**(b)** Fuel inflation
**(c)** Manufacturing inflation
**(d)** Food inflation
**(e)** Housing inflation
**Answer: (d) Food inflation**

**Q45.** Which of the following was the Wholesale Price Index (WPI)-based inflation rate in India for May 2026, after factory-gate prices rose on the back of higher fuel, food and manufactured goods costs?

**(a)** 7.48%
**(b)** 8.30%
**(c)** 9.68%
**(d)** 4.49%
**(e)** 30.33%
**Answer: (c) 9.68%**

**Q46.** Which category emerged as the largest contributor to India's wholesale price inflation, which rose to 9.68 per cent according to data released by the Ministry of Commerce and Industry in May 2026?

**(a)** Petroleum refining services
**(b)** Manufactured products
**(c)** Mineral oils
**(d)** Fuel and power
**(e)** Textiles
**Answer: (d) Fuel and power**

**Q47.** The Ministry of Commerce and Industry released the first Wholesale Price Index (WPI) data under the revised series in May 2026. Which of the following statements is/are correct? I. The revised WPI series has adopted 2022-23 as the base year. II. The government has introduced new Producer Price Indices (PPIs), including Output PPI and

Service PPI. III. Crude petroleum and natural gas have been shifted from Primary Articles to the Fuel and Power category.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q48.** Which of the following was not identified by the government as one of the major drivers of India's wholesale price inflation, which rose to 9.68 per cent under the revised WPI series with a new base year of 2022-23 in May 2026?

**(a)** Mineral oils
**(b)** Crude petroleum and natural gas
**(c)** Chemicals and chemical products
**(d)** Basic metals
**(e)** Textiles and apparel
**Answer: (e) Textiles and apparel**

**Q49.** The World Bank recently approved financing for India under its Development Policy Financing (DPF) Operation to support structural reforms and employment generation. What is the amount of this financing?

**(a)** USD 500 million
**(b)** USD 1.5 billion
**(c)** USD 2.0 billion
**(d)** USD 1.2 billion
**(e)** USD 3.5 billion
**Answer: (b) USD 1.5 billion**

**Q50.** The World Bank recently approved a $1.5 billion financing package to support India's structural reform agenda. According to the World Bank, these reforms are expected to help generate employment opportunities annually for how many young people entering the labour force over the next two decades?

**(a)** 6 million
**(b)** 9 million
**(c)** 7 million
**(d)** 18 million
**(e)** 11 million
**Answer: (e) 11 million**

**Q51.** The World Bank recently approved $1.5 billion in financing to support which country's reform programmes aimed at boosting private sector-led job creation and economic growth?

**(a)** India
**(b)** Brazil
**(c)** Indonesia
**(d)** South Africa
**(e)** Vietnam
**Answer: (a) India**

**Q52.** According to a recent forecast by S&P Global Ratings, India's GDP growth is expected to slow in FY27 due to factors such as rising energy costs, weak monsoon conditions, and a softer global economic environment. What growth rate has been projected for the country?

**(a)** 6.2%

**(b)** 6.4%
**(c)** 6.6%
**(d)** 6.8%
**(e)** 7.0%
**Answer: (c) 6.6%**

**Q53.** According to S&P Global Ratings, what level of consumer inflation is expected in India in the current fiscal year due to rising energy costs and fuel price pressures?

**(a)** 4.5%
**(b)** 4.8%
**(c)** 5.1%
**(d)** 5.5%
**(e)** 6.0%
**Answer: (c) 5.1%**

**Q54.** At the Grand Prix Usti nad Labem boxing tournament in Czechia, Indian boxers delivered a dominant performance. Out of the total 12 medals won by India, how many were gold medals?

**(a)** 6
**(b)** 7
**(c)** 8
**(d)** 9
**(e)** 10
**Answer: (c) 8**

**Q55.** At the Grand Prix Usti nad Labem (Czechia) boxing tournament, India secured a total of 12 medals, including 8 gold medals. These medals were achieved across which categories?

**(a)** Cricket and Hockey
**(b)** Athletics and Wrestling
**(c)** Mens and Womens Boxing
**(d)** Badminton and Tennis
**(e)** Weightlifting and Shooting
**Answer: (c) Mens and Womens Boxing**

**Q56.** According to Goldman Sachs latest macroeconomic outlook, what is India's revised real GDP growth forecast for calendar year 2026 (CY26) following the US-Iran peace deal in June 2026?

**(a)** 6.2%
**(b)** 6.5%
**(c)** 6.8%
**(d)** 7.0%
**(e)** 7.2%
**Answer: (c) 6.8%**

**Q57.** Which global investment bank recently revised India's CY2026 real GDP growth forecast to 6.8%, citing easing crude oil prices and improved macroeconomic conditions?

**(a)** Morgan Stanley
**(b)** Goldman Sachs
**(c)** JPMorgan Chase
**(d)** HSBC
**(e)** UBS
**Answer: (b) Goldman Sachs**

**Q58.** Goldman Sachs has raised Indias CY26 real GDP growth forecast following easing crude oil prices after the US-Iran peace deal. Which of the following statements is/are correct? I. Goldman Sachs has raised Indias CY26 real GDP growth forecast to 6.8%. II. It has lowered its headline inflation forecast to 4.4% for CY26. III. Goldman Sachs has revised Indias current account deficit forecast to 1.1% of GDP.

**(a)** I only
**(b)** I and II only
**(c)** II and III only
**(d)** I and III only
**(e)** I, II, and III
**Answer: (e) I, II, and III**

**Q59.** Which of the following multilateral development banks has approved a USD 42.2 million loan to strengthen the bamboo industry in India's northeastern states, in June 2026?

**(a)** Asian Development Bank (ADB)
**(b)** World Bank
**(c)** Asian Infrastructure Investment Bank (AIIB)
**(d)** New Development Bank (NDB)
**(e)** International Fund for Agricultural Development (IFAD)
**Answer: (a) Asian Development Bank (ADB)**

**Q60.** The USD 42.2 million loan approved by the Asian Development Bank (ADB) to strengthen the bamboo industry in India's northeastern states is aligned with which of the following government initiatives, in June 2026?

**(a)** National Bamboo Mission
**(b)** Mission for Integrated Development of Horticulture
**(c)** National Mission on Sustainable Agriculture
**(d)** Pradhan Mantri Krishi Sinchai Yojana
**(e)** Rashtriya Krishi Vikas Yojana
**Answer: (a) National Bamboo Mission**

**Q61.** How much loan has the Asian Development Bank (ADB) approved to support the development of the bamboo industry in India's northeastern states, in June 2026?

**(a)** USD 42.2 million
**(b)** USD 35.5 million
**(c)** USD 40 million
**(d)** USD 45.7 million
**(e)** USD 50 million
**Answer: (a) USD 42.2 million**

## Quick Answer Key — Economy

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| 1-d | 2-b | 3-b | 4-b | 5-b | 6-c | 7-e | 8-b | 9-c | 10-a |
| 11-e | 12-d | 13-e | 16-b | 17-d | 18-c | 14-d | 19-a | 15-a | 20-e |
| 21-c | 22-d | 23-b | 24-c | 25-e | 26-c | 27-b | 28-e | 29-d | 30-d |
| 31-c | 32-c | 33-e | 34-a | 35-d | 36-d | 37-c | 38-e | 39-c | 40-c |
| 41-e | 42-d | 43-a | 44-d | 45-c | 46-d | 47-e | 48-e | 49-b | 50-e |
| 51-a | 52-c | 53-c | 54-c | 55-c | 56-c | 57-b | 58-e | 59-a | 60-a |
| 61-a | | | | | | | | | |



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